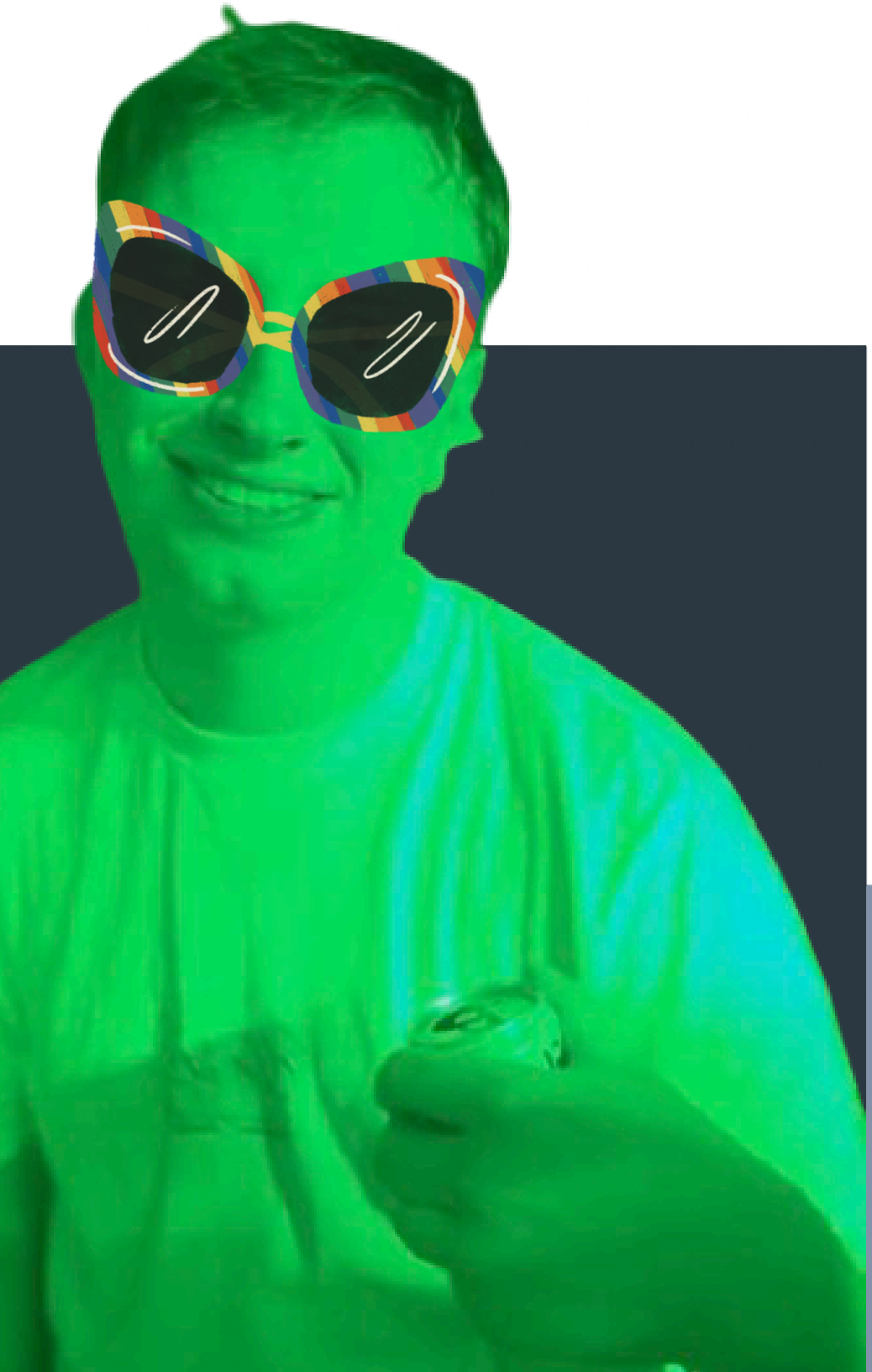
Skills

Advanced Assurance



Cheat Sheet

2026

Advanced Assurance

Practical cheat sheet | 2026 course materials

How to use: Read the requirement, choose the topic and follow the numbered approach. Select the applicable rule, assertion, working and evidence using the current scenario; state the requested conclusion and action.

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Illustrations: Each supplies the relevant facts, shows the decision/working and states the transferable lesson. Material references identify where to practise the method.

Source locations: M7 Skills Builders Q1 means Module 7, Skills Builders, Question 1. APQs and AAPQs are separate collections. Workshop item numbers follow the collated source register; slide numbers identify the supplied slide deck.

Visuals and navigation: Source visuals retain their original content. Study-guide page references are printed pages; PDF pages are one higher. Contents are clickable; Word headings and PDF bookmarks provide another route.

Start with the requirement

All modules

Use: A question-answering aid for practice. Read the requirement first, then choose the relevant sheet. This is not a substitute for the question's specific instructions or the permitted books.

Decode the task before reading the exhibits

Requirement	What the answer must contain
Evaluate ethical threats	Scenario fact; named threat; why objectivity or independence is affected; permitted safeguard or refusal.
Acceptance / continuance risks	Why the fact creates a risk to the audit firm; effect on the decision; response if requested.
Audit risks and approach	Fact; affected balance/assertion; possible misstatement and direction; tailored response.
Key controls and tests	Effectively designed control; misstatement it prevents/detects; evidence that it operated.
Weaknesses and recommendations	Deficiency; specific consequence; practical corrective control and responsible person.
Perform analytical review	Independent expectation; actual; variance; threshold comparison; conclusion and requested follow-up.
Design procedures	Action, population/item, source evidence and purpose. Do not merely describe a risk.
Perform procedures / evaluate evidence	Actually compare or calculate using exhibits; document result, issue and conclusion.
Reporting consequences	Misstatement or missing evidence; materiality; pervasiveness; opinion and relevant report section.

Read in this order

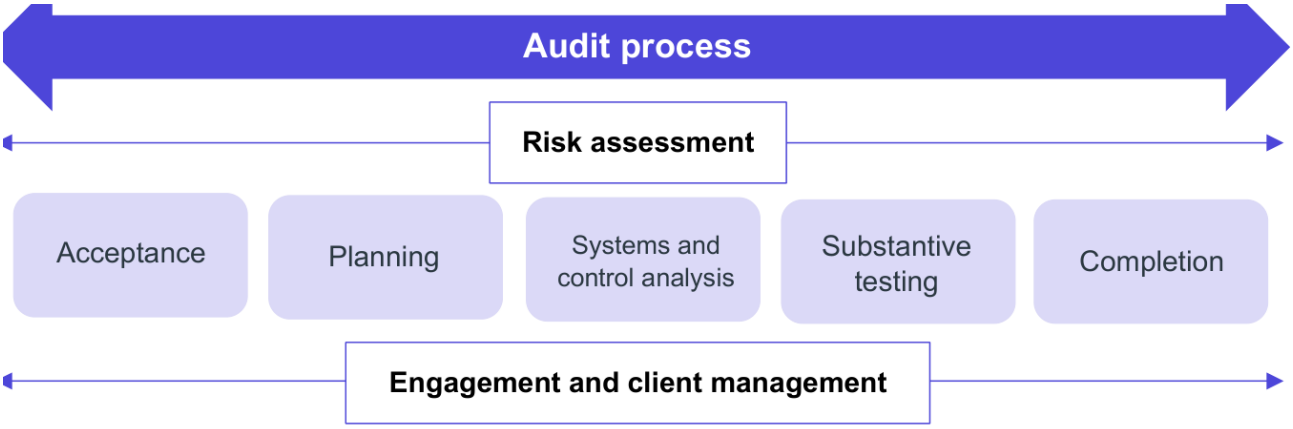
1. **Role and scope:** Who are you? Auditor, consultant or other assurance practitioner? Which entity, balance, assertion and period? Note exclusions.
2. **Deliverable:** Identify each verb and subrequirement. Separate calculations, evaluation, evidence, recommendations and reporting.
3. **Scenario facts:** Mark dates, amounts, policies, changes, incentives, contradictions and missing evidence. Keep shared-case facts available across requirements.
4. **Answer plan:** Use one heading per issue. Put the scenario fact beside its consequence; then add the requested action or conclusion.
5. **Final pass:** Check all verbs answered, figures carry units, conclusions are explicit and procedures are tailored. Do not repeat the same point under different labels.

Time discipline: The study guide describes 150 minutes for 120 marks. A simple allocation is 1.25 minutes per mark before allowing for your reading/checking approach. This is a calculated planning aid, not a prescribed ICAS technique.

Sources: Study guide printed pp.5, 42-43, 65, 70, 84, 92, 105; Skills Builders M1-M12; September and December 2025 examiner reports, relevant question feedback.

Audit stages and communication

All modules | Plan -> test -> evaluate -> communicate



Read the map: Acceptance -> planning -> systems/controls -> substantive testing -> completion. Risk assessment and engagement/client management continue across the stages; new evidence can change the plan. Source visual: study guide printed p.22.

Different documents, different purposes

Strategy: Scope, timing, direction, resources, risks and materiality. **Plan:** Specific nature, timing and extent of procedures implementing the strategy. Both change as evidence changes.

Management letter: Control failures, weaknesses or absent controls, implications and recommendations; sent to those charged with governance. Significant deficiencies must be reported to management and governance promptly and in writing. Do not wait for the final report to communicate an urgent finding.

Timing: Controls are often tested at interim. Communicate relevant interim findings then; communicate further findings during final work and follow up implementation in the next audit. There is no universal fixed number of days in the supplied guide.

Written representations: Management confirms required matters at completion; these supplement, not replace, other available evidence.

Audit report: Opinion and relevant report sections after evidence evaluation and review. Not a list of recommendations to repair controls.

Answer construction: Matter -> recipient -> timing/form -> reason. A test that identifies a deficiency does not itself communicate it.

Sources: Study guide printed pp.22-23, 42-43, 58, 100-105; WS2 slides 73-80; WS4 completion/communication material.

Assertions: transactions and related disclosures

Modules 2, 4, 6, 8 | Classes of transactions and events throughout the period

Official assertion	Meaning / objective	Application
Occurrence	Recorded/disclosed transactions and events occurred and pertain to the entity.	Genuine sales; payroll for actual employees/work.
Completeness	All transactions/events and related disclosures that should be included are included.	All despatches requiring invoices reach the sales ledger; all approved hours reach payroll.
Accuracy	Amounts/data recorded appropriately; related disclosures appropriately measured and described.	Hours x approved rate; invoice quantity x price; interest calculation.
Cut-off	Transactions/events recorded in the correct accounting period.	Delivery/service dates compared with posting period.
Classification	Transactions/events recorded in the proper accounts.	Repairs versus capital expenditure; restricted versus unrestricted payroll allocation.
Presentation	Appropriate aggregation/disaggregation and clear description; related disclosures relevant and understandable.	Appropriate revenue categories and clear transaction disclosures.

Select the category before the assertion

1. **Object:** Movement during the year, closing balance or related disclosure? A document can support different objectives.
2. **Error:** Fictitious, omitted, wrong amount, wrong period, wrong account or inadequate disclosure?
3. **Label:** Use the correct set. Revenue Occurrence is not receivables Existence. Payroll Accuracy is not the full balance assertion Accuracy, valuation and allocation.
4. **Purpose:** Explain how the test addresses the selected assertion; do not attach every assertion to a generic procedure.

Authorisation: A control activity/objective, not a separate financial-statement assertion. Link approval to the misstatement it prevents, such as fictitious hours or incorrect pay.

Example: Inspect timesheets for manager approval of hours before processing: test of the approval control supporting payroll Occurrence/Accuracy. Recalculate gross pay from hours and rates: substantive Accuracy test.

Sources: Study guide p.16, pp.57-58, 73-76; WS2 slides 75-77; WS3 slides 8-14, 29-34. Definitions and applications synthesise the supplied assertion framework.

Assertions: balances and related disclosures

Modules 2, 4, 6, 8 | Account balances at the period end

Official assertion	Meaning / objective	Application
Existence	Assets, liabilities and equity interests exist.	Listed inventory physically present; recorded receivable genuinely outstanding.
Rights and obligations	Entity holds/controls rights to assets; liabilities are its obligations.	Title, consignment terms, leases, bank restrictions and loan agreements.
Completeness	All balances and related disclosures that should be included are included.	Unrecorded payables/GRNI; omitted bank accounts; required related-party disclosures.
Accuracy, valuation and allocation	Appropriate amounts and valuation/allocation adjustments; related disclosures appropriately measured/described.	Inventory at lower of cost and NRV; receivable allowance; depreciation and impairment.
Classification	Balances recorded in the proper accounts.	Current/non-current debt; asset classes; investment categories.
Presentation	Appropriate aggregation/disaggregation and clear description; related disclosures relevant and understandable.	Clear estimate, restriction and uncertainty disclosures.

Wording changes the answer

Do not substitute: Occurrence for a balance's Existence; Accuracy alone for the full balance assertion Accuracy, valuation and allocation; or Cut-off as a separately listed balance assertion.

Cut-off procedures still matter: Testing receipt/despatch transactions around year end can support the resulting balance's Completeness/Existence. Name the balance objective when that is what the requirement asks.

Evidence has limits: Confirmation can support Existence without establishing recoverability. Physical inspection does not establish ownership. Title deeds do not establish current valuation.

Disclosures: Select the assertion set associated with the transaction/balance. Missing information suggests Completeness; unclear description or inappropriate aggregation suggests Presentation. Materiality by nature remains relevant.

Example: Recalculate the closing loan from the contract and payments: Accuracy, valuation and allocation. Recalculate the year's interest expense: Accuracy for transactions.

Sources: Study guide p.16, pp.33, 76-83; WS3 slides 8-14, 29-32. Use the labels where the requirement asks for assertions; do not assume every procedure needs an assertion label when only a list of tests is requested.

Ethics: build the analysis

Module 1 | FRC Ethical Standard; ICAS Code

Fact -> threat -> mechanism -> action

1. **Identify the relationship:** Direct/indirect investment, loan, family connection, employment, fee, gift, litigation or additional service. Establish client status and the person's influence over the audit.
2. **Name the threat:** Explain the mechanism, not just the label. A financial benefit can bias judgement; close relationships can reduce scepticism; defending a client can align the auditor with its interests.
3. **Apply the rule:** Decide whether the activity is prohibited or whether a specific safeguard can reduce the threat. A separate team cannot cure an outright prohibition.
4. **Conclude:** Remove the interest/person, decline the service, rotate, arrange independent review or decline/resign as appropriate. Explain why the proposed action addresses this threat.

Threat	How it affects the audit	Typical trigger
Self-interest	Personal or financial interest influences judgement.	Shares, unpaid fees, dependence on fees.
Self-review	Reluctance or inability to challenge work previously performed.	Preparing information later audited.
Familiarity	Too trusting or sympathetic to the client.	Long association, close personal relationship.
Advocacy	Promoting or representing the client's position.	Litigation representation, fundraising support.
Intimidation	Pressure deters objective action.	Threatened dismissal, litigation or loss of fees.
Management	Making decisions that belong to management.	Running a function or choosing accounting treatments.

Principles are not threats: Integrity, objectivity, professional competence and due care, confidentiality and professional behaviour are the Code's fundamental principles. If asked for threats, identify and explain threats rather than listing principles alone.

Illustration | M1 Skills Builders Q1

Facts needed: An audit client asks the firm to prepare its financial statements. Its finance function is led by a part-qualified assistant; informed management able to take responsibility for accounting judgements has not been established.

Apply the sequence: Preparation creates self-review because the firm will audit its own work. First check client-category prohibitions; then assess whether management can evaluate the work and retain decisions. If the firm would make management decisions, decline; a separate reviewer does not cure that role.

Transfer to another question: The decisive facts are the service, client category and management capability, not the client name. Do not recommend review before establishing that the service is permissible.

Book route: Code section 110 for principles; section 120 for identifying, evaluating and addressing threats. For the UK audit independence rules, start with the Handbook's FRC Ethical Standard, not automatically Code Part 4A. Code R1.12 explains that distinction.

Sources: Study guide pp.7-14; M1 Skills Builders Q1; December 2025 examiner report, ethics feedback. Handbook Ethical Standard contents printed pp.15-19; Code pp.5, 14-30.

Ethics: relationships, fees and services

Module 1 | Apply the client category

Trigger	Analysis and action to consider
Direct shares held by audit team	Self-interest; no immaterial-direct-holding exception. Remove the interest/person from the relevant role; assess work already done and any breach. Do not confuse an indirect fund investment with a direct holding.
Loan or guarantee	Self-interest/intimidation. Check the lender, normal business terms and materiality conditions in the permitted text before relying on an exception.
Close family in finance / team joining client	Assess influence on accounting records and audit judgements. Remove affected staff from the audit where required; review work already performed.
Client employee joins audit firm	Consider former responsibilities and the period being audited. Do not assign them to audit their own work.
Gifts / hospitality	Consider value and circumstances, not a universal monetary safe limit. The guide uses clearly trivial value; repeated hospitality can compound familiarity.
Overdue fees	May resemble financing of the client. Consult ethics partner; consider continuance and independent review if continuing.
Actual/threatened litigation	Consider conflict, intimidation and whether objective work remains possible. A disagreement is not automatically a reason to abandon the audit.

Numerical rules: use the right denominator

Fee dependence: The course guide uses recurring audit plus non-audit fees compared with the firm's annual fee income: 10% for public-interest/other listed clients and 15% for non-listed clients where regularly exceeded. Approaching limits requires ethics-partner/governance consideration; do not treat the limit as a target.

Non-audit fee cap: For a PIE, the guide uses 70% of the average audit fees over the previous three years. This is not 70% of total client fees, nor a permission to provide an otherwise prohibited service.

Rotation: PIE engagement partner five years, restricted extension to seven; quality reviewer seven years with five-year return restriction; other key partners seven years with two-year return restriction. Non-PIE partner rotation considered after ten years; if retained, document reasons, inform governance and apply an appropriate independent safeguard. Firm rotation and partner rotation are different.

Services: Check management responsibility, self-review and advocacy before suggesting separate teams. For a PIE, consult the permitted-services restrictions. Do not generalise safeguards from a private-client example to a PIE.

Approaching a fee limit: Calculate with the correct denominator; assess recurring dependence and future work. Discuss with ethics partner/governance, monitor and consider appropriate safeguards or reduced non-audit work. Below-limit is not automatically no threat; a high percentage alone is not an automatic resignation rule.

Traps: Contingent audit fees are not cured by review. A small direct shareholding is still direct. Fee caps and service prohibitions are separate tests. Assess the actual service and management involvement before selecting safeguards.

Sources: Study guide pp.8-14; M1 Skills Builders Q2; M1 APQs Q1/Q02; AAPQs Q15/Q22; past-paper ethics requirements. Handbook ES sections 2-5.

Ethics: services, people and prohibitions

Module 1 | Check prohibition before safeguard

1. **Identify:** Client category, exact service/relationship, materiality and person's influence.
2. **Apply:** Check prohibition and exception conditions before suggesting separate teams/review.
3. **Evaluate:** Explain the actual threat to objectivity/independence and whether informed management retains decisions.
4. **Conclude:** Decline prohibited work; otherwise specify effective safeguards, approval, documentation and review of affected work.

Situation	Course rule / action
Financial-statement preparation	Not permitted for listed audit clients. For other clients, assess self-review and informed management; never take management decisions.
Material valuation for listed audit client	Prohibited; decline. Explaining self-review alone is not the complete conclusion.
Internal audit service	Listed among prohibited services in the study guide. Different from evaluating the client's existing internal audit function's work.
Significant accounting-system design/provision/implementation	Not permitted; separate teams do not cure the prohibition.
Corporate finance	Dealing in, underwriting or promoting the audit client's shares is prohibited; consider advocacy.
Legal / litigation support	Listed among prohibited service areas in the study guide. Identify advocacy/management involvement and client category before proposing safeguards.
Tax / recruitment / remuneration	Do not undertake management decisions. The guide lists recruitment/remuneration among prohibited areas; assess the actual service rather than generalising all tax work.
Direct financial interest	No immaterial-direct-holding exception. Indirect interest exception requires immateriality and no influence over investment decisions.
Team member negotiating client employment	Notify firm; remove from engagement; review relevant work. Consider the person's subsequent influence on client records.
Influential former client employee joins firm	Do not assign to audit/influence role for two years after leaving client under the guide's treatment.

PIE restrictions: Check the applicable service restrictions as well. Passing a fee cap does not establish service permissibility. A safeguard cannot make a prohibited service acceptable.

Loans: Guide exception: bank/similar deposit-taker, ordinary-course normal terms and immateriality to firm/client. Check all conditions. **Business relationships:** Normal-course arm's-length dealings must be clearly immaterial to both for the guide's exception.

Litigation: If probable/in progress, normally do not accept/continue; the guide identifies a public-interest/shareholder-interest exception assessed by an objective, reasonable and informed third party.

Temporary staff loans: Normally prohibited by the FRC rules in the guide; its narrow exception concerns UK national audit agencies, not a commercial firm solving the client's staffing shortage.

Sources: Study guide pp.8-14; APQ M1 Q1/Q2; SB M1; WS1 slides 33-42. This summarises the supplied course treatment, not every possible exception in the Ethical Standard.

Data integrity and analytics inputs

Module 2 | ISA (UK) 500

Recognise: Accuracy, validity, completeness, reliability of underlying data, or whether the audit team may rely on an ADA output. Successful extraction and cleansing do not establish that the client's records are correct.

1. **Establish the population:** Entity, dates, currency, units, accounts, locations and extraction parameters. Reconcile totals and item counts to the ledger and relevant source listing.
2. **Test completeness:** Look for missing sequences, omitted locations, unmatched records, cut-off errors and transactions in source documents but absent from the data.
3. **Test accuracy:** Recalculate extensions, totals, rates, ageing, translation and classifications. Agree fields to original documents, not another report generated from the same faulty source.
4. **Test validity:** Does the entry represent a genuine relevant transaction or asset? Investigate duplicates, error accounts, impossible values, repairs capitalised as assets and transactions outside the period.
5. **Evaluate contradictions:** Explain why the anomaly matters and what evidence would resolve it. A plausible explanation is not corroboration.
6. **Conclude on use:** State whether reliance is appropriate now, subject to specified corrections/retesting, or not appropriate. Separate data integrity from the later audit conclusion about the balance.

Finding	Possible explanation	Resolve before relying
Outlying ratio or negative value	Wrong input/sign/unit/period, or genuine unusual activity.	Recalculate and agree inputs to records; inspect underlying transactions.
Register/ledger totals or counts differ	Omission, duplicate or cut-off difference.	Reconcile by reference and inspect invoice/receipt/posting dates.
Wrong translation rate	Recorded sterling amount inaccurate.	Verify relevant date/rate and reperform translation.
Cleansing removes unusual items	Valid transactions or evidence may be lost.	Investigate before deletion; preserve original data and reconcile transformations.

Answer construction: Finding -> reliability concern -> evidence/action -> conclusion. If asked to perform procedures, show the actual comparison rather than only proposing it.

Technology and strategy: Unauthorised changes, poor access, untested backups and incomplete interfaces can make management reports unreliable. Explain the affected decision or report rather than merely naming a cyber risk.

Integrity types: Physical: reliable storage/retrieval. Logical: entity integrity (unique/non-null keys), referential integrity (consistent links), domain integrity (valid field values) and user-defined rules. Test extraction filters, joins, missing records and transformations before relying on ADA; a full-population test can still use incomplete data or the wrong rule.

Sources: Study guide pp.16-20; M2 Skills Builders Q1/Q2; Workshop 1 item 6 question pp.1-4 and solution p.1; M2 APQs Q1/Q02; AAPQs Q4.

Acceptance and continuance

Module 3 | ISA (UK) 210; Code section 320

Distinction: Acceptance risk concerns the audit firm's ability and willingness to take the engagement. Audit risk concerns a material misstatement in the client's financial statements. The same fact can create both, but explain the risk requested.

1	**Preconditions and access:** Acceptable reporting framework; management acknowledges preparation, internal control and unrestricted access to information and people. Identify any imposed limitation before acceptance.
2	**Integrity and identification:** Understand owners, directors, business and reasons for auditor change. Seek professional clearance with permission; perform the required client-identification procedures.
3	**Independence:** Financial/personal interests, conflicts, non-audit services, fees and association. A prohibited arrangement must change before acceptance.
4	**Ability to deliver:** Industry/regulatory expertise, locations, language, specialists, staffing, timetable and access to component information.
5	**Commercial exposure:** Fee adequacy and collectability; litigation and reputational exposure; association with a failing or controversial business.
6	**Decision and terms:** Identify responses that genuinely address the risks. Agree scope, responsibilities, access, timetable, fee and report in an engagement letter; decline where unresolved barriers remain.

Translate facts into firm risks

Fact	Acceptance / continuance evaluation
Overseas branch becomes significant	May lack local knowledge, language, staff or access; arrange suitable resources and assess feasibility.
Client demands completion one month after year end	Resources may not permit work to the required quality; negotiate timing rather than promising to reduce testing.
Previous auditor resigned over information access	Investigate reasons and whether restrictions remain; professional clearance is not replaced by management reassurance.
Losses and cash pressure	Fee may not be paid; greater judgement and going-concern work may require expertise; reputational exposure if business fails.
New listed status	Reassess independence, rotation, reporting obligations and staffing; last year's team and fee may be insufficient.

Separate firm-risk mechanisms: Specialist/overseas work affects competence/resources; a short timetable affects delivery; losses affect fee collection; controversial operations affect reputation. Explain the mechanism requested, not merely "high risk".

Access restriction: Establish whether required information/people will be accessible before accepting. Confidentiality does not remove the need for evidence; unresolved restrictions affect acceptance/continuance.

Sources: Study guide pp.22-30; M3 Skills Builders Q1/Q2; Workshop 1 item 1/02; M3 APQs Q1/Q02; AA-SAMPLE-2026-Q04. Handbook ISA 210; Code section 320.

Audit risk: turn facts into misstatements

Modules 4-5 | ISA (UK) 315, 330

1	**Identify the fact:** Quote only the relevant detail in your own concise description. Explain a change, uncertainty, incentive or control failure.
2	**Locate the misstatement:** Name the account/disclosure and assertion. State overstatement, understatement, omission or incorrect classification where determinable.
3	**Explain the mechanism:** Why could this fact cause that misstatement? Do not stop at a business risk such as lost customers.
4	**Choose the response level:** Financial-statement-level risks affect the overall approach; assertion-level risks require targeted work. Add controls understanding/testing and substantive work where relevant.

Scenario trigger	Audit risk	Tailored response
Contractual volume discounts not accrued	Revenue and receivables overstated in the current period.	Inspect customer agreements and recalculate discounts for qualifying sales; check year-end posting.
Deteriorating inventory valued by a connected expert	Inventory valuation uncertain; competence/objectivity of management's expert questionable.	Evaluate expert and valuation assumptions; consider an independent auditor's expert.
Capital project suspended after customer failure	Capitalised costs may not be recoverable; PPE overstated.	Assess alternative use and recoverability, inspect supporting contracts and impairment workings.
Receivables days increase; customers slow to pay	Recoverability risk and possible understated loss allowance.	Inspect ageing, subsequent receipts and customer correspondence; challenge allowance.
First derivative / first lease	Complex non-routine accounting may be incorrect or incomplete.	Inspect agreement and recalculate relevant amounts; check presentation/disclosures.
Weak control environment / management override	Broader fraud/error risk, not one isolated account.	Increase experienced supervision, scepticism and unpredictability; tailor journal and substantive testing.

Fraud factors: Incentive/pressure, opportunity and rationalisation identify risk factors, not proof of fraud. Use the fraud-triangle sheet to connect a factor to a possible misstatement and audit response.

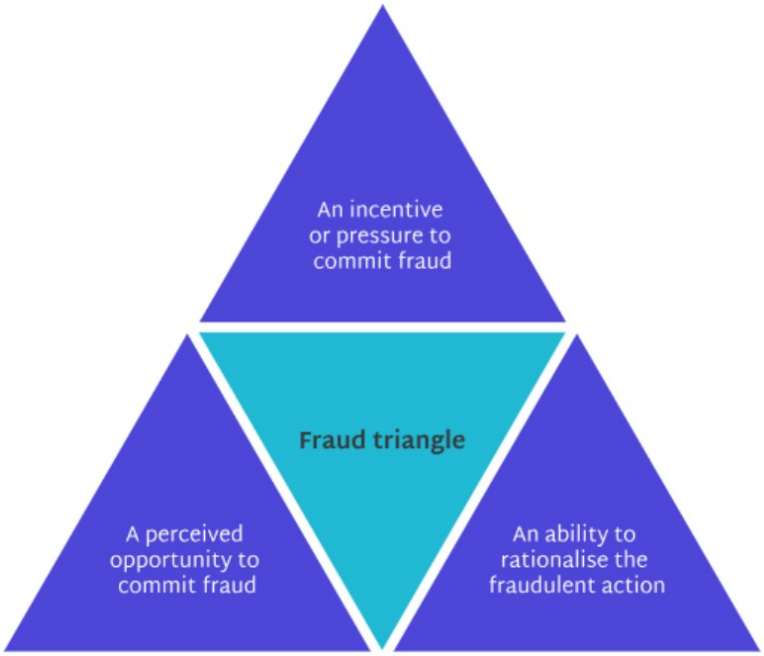
Management override: Consider journal entries, estimate bias and unusual significant transactions. Revenue fraud risk requires consideration; do not assume every revenue stream has identical risk.

Answer check: 'Competition has increased' is incomplete. Explain the resulting impairment, inventory NRV, going-concern or incentive-to-overstate-revenue risk supported by the scenario.

Sources: Study guide pp.32-37, 40-43; M4 Skills Builders Q1/Q2; M4 APQs Q1/Q02; Workshop 1 item 5; September 2025 examiner report, audit-risk feedback. Handbook ISA 240, 315, 330.

Fraud: recognise factors and choose a response

Module 4 | Source visual: study guide printed p.35 (PDF page 36)



Read the triangle: Incentive/pressure, opportunity and rationalisation can coexist. They identify risk factors, not proof that fraud occurred.

Factor	What to look for	Translate into audit work
Incentive / pressure	Targets, performance-linked pay, funding/covenant pressure.	Identify affected revenue, estimates or classification; challenge bias and period-end entries.
Opportunity	Unrestricted access, poor segregation, sole processing or override.	Understand controls; test relevant journals/transactions and investigate bypasses.
Rationalisation	Explanations that excuse aggressive treatment or misuse.	Challenge explanation against documents and framework; resolve contradictory evidence.

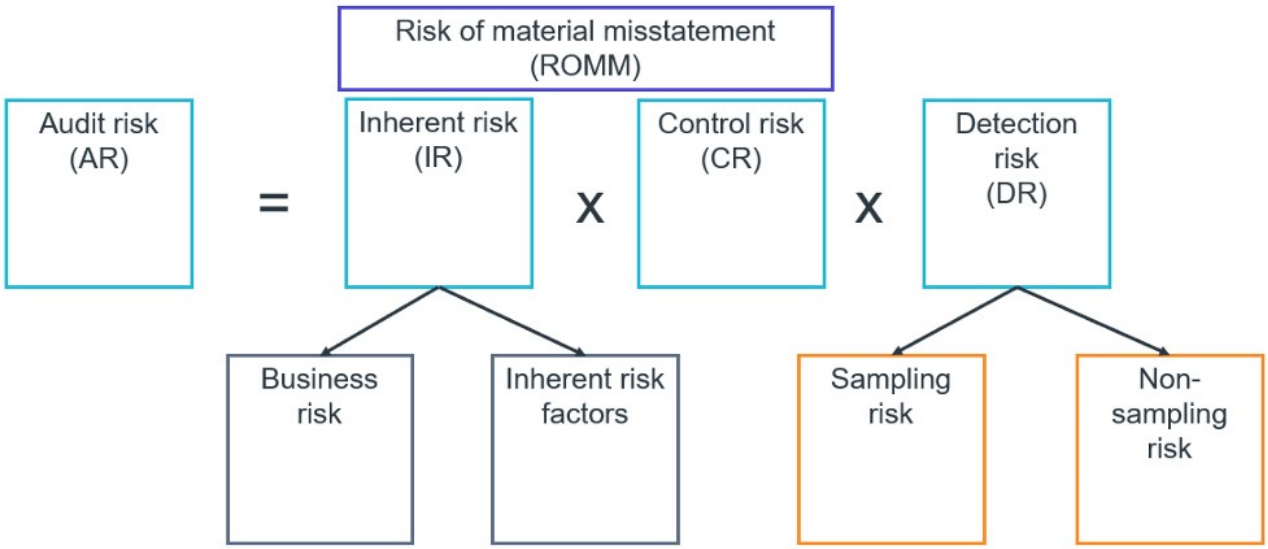
Answer sequence: Fact -> factor/mechanism -> account/assertion and possible misstatement -> targeted evidence/response. Do not stop at naming a corner of the triangle.

Responsibility: Management/governance prevent and detect fraud. The auditor seeks reasonable assurance that statements are free of material misstatement from fraud or error; consider override and the relevant revenue risks.

Sources: Study guide pp.35-36; M4 Skills Builders Q1/Q2; M4 APQs Q1/Q2. Applications synthesise the supplied risk framework.

Audit risk model and response

Modules 4, 6, 9 | Audit risk = ROMM x detection risk



ROMM = Inherent risk x Control risk. Audit risk is the risk of an inappropriate opinion when the financial statements are materially misstated. Reduce it to an acceptably low level.

Component	Meaning and response
Inherent risk	Susceptibility to misstatement before controls. Assess business risks and complexity, subjectivity, change, uncertainty and bias/fraud susceptibility.
Control risk	Misstatement is not prevented, or detected and corrected, by the entity's controls. Evaluate design/implementation; test operation where relying.
Detection risk	Audit procedures fail to detect an existing material misstatement. Manage through appropriate nature, timing and extent of work.
Sampling risk	Sample conclusion differs from testing the whole population. Address selection, sample size and evaluation.
Non-sampling risk	Wrong procedure, misinterpreted evidence or failure to recognise error. Address competence, supervision, review and appropriate work; larger samples alone do not cure it.

Response chain: Higher inherent/control risk -> higher ROMM -> lower acceptable detection risk for the same acceptable audit risk -> more persuasive substantive evidence. Consider better sources, more year-end work and greater coverage, not just sample size.

Control failure: Investigate cause/period; test a relevant compensating control; revise reliance and substantive work. More audit testing does not repair the client's controls or directly reduce inherent risk.

Model use: A planning relationship, not a guarantee from mechanically assigning percentages. The auditor assesses inherent/control risk and manages detection risk through the audit response.

Sources: Supplied audit-risk diagram; study guide pp.32-36, 58, 87; WS1 slides 18-19; AAPQ 27 solution.

Planning analytical review

Module 4 | ISA (UK) 315, 520

Purpose: Identify unusual relationships and potential risks requiring investigation. Do not confuse this with substantive analytics intended to obtain assurance over an assertion.

1	**Check comparability:** Same period, units, accounting basis and population? Extrapolate flows only when justified; do not annualise a closing balance sheet amount.
2	**Calculate what is requested:** Movement, ratio or expectation. Show a transparent working and label actual, budget and prior-year periods.
3	**Explain the movement:** Use changes in prices, volumes, customers, costs, timing and accounting. State when the observed movement contradicts the expected direction.
4	**Convert to audit risk:** Identify the potentially misstated balance and direction. Distinguish a plausible commercial explanation from an accounting error.
5	**Conclude / respond:** Explain which movements need further work and what specific evidence would address them, if requested.

Formula strip

Calculation	Working
Percentage movement	(Current - comparator) / comparator x 100
Gross margin	Gross profit / revenue x 100
Receivables days	Trade receivables / credit sales x days in the relevant period
Payables days	Trade payables / credit purchases x days in the relevant period; identify any source proxy used.
Interest cover	Profit before interest and tax / finance costs

Use the case's basis: Ratios may use annualised figures or a period-specific denominator. Do not silently change the supplied convention; state any assumption needed.

Movement -> expectation -> possible misstatement

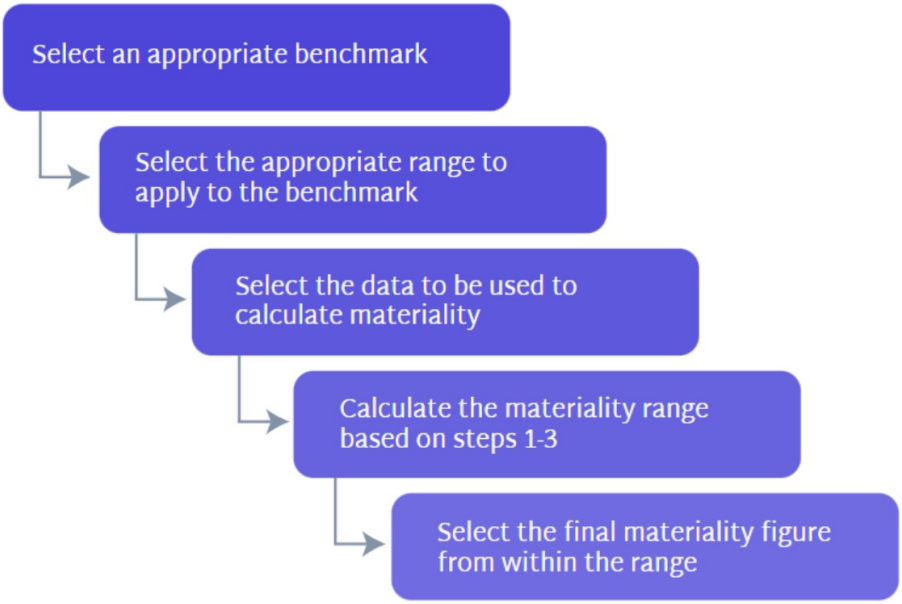
Relationship	Reasoning
Expense falls despite new contracts/redundancies	Identify costs expected to increase; investigate omitted accruals, cut-off or classification before assuming efficiency.
Share capital grows faster than shares issued	Reconcile shares x nominal value; separate premium and other equity movements.
Interest cover below covenant	Verify definition/calculation and lender response; assess repayment/liquidity consequences.
Revenue differs from independent expectation	Separate volume, rate, timing and customer-group effects; investigate the driver of the difference.

Trap: 'Higher than last year' earns little without explaining whether the increase is expected and what it means for the accounts.

Sources: Study guide pp.37-38; Workshop 2 item 1 solution pp.1-4; AAPQs Q17; M4 APQs Q1/Q02; September 2025 examiner report, analytical-review feedback.

Materiality: visual order of decisions

Module 4 | Source visual: study guide printed p.38 (PDF page 39)



1-2 | Users and benchmark: Select what users focus on, then the applicable course range. Percentages are judgement aids, not universal ISA rules.

3 | Representative data: Decide whether current results, a justified normalised figure or multi-year average is appropriate. Explain volatility/non-recurring items.

4-5 | Working and judgement: Benchmark x lower/upper percentage = range. Choose one amount and explain its position using risk, first-year status, fraud and prior misstatements.

Output: State benchmark, data, percentages, range, final amount and reason. Keep units explicit. Reassess as actual results and evidence change.

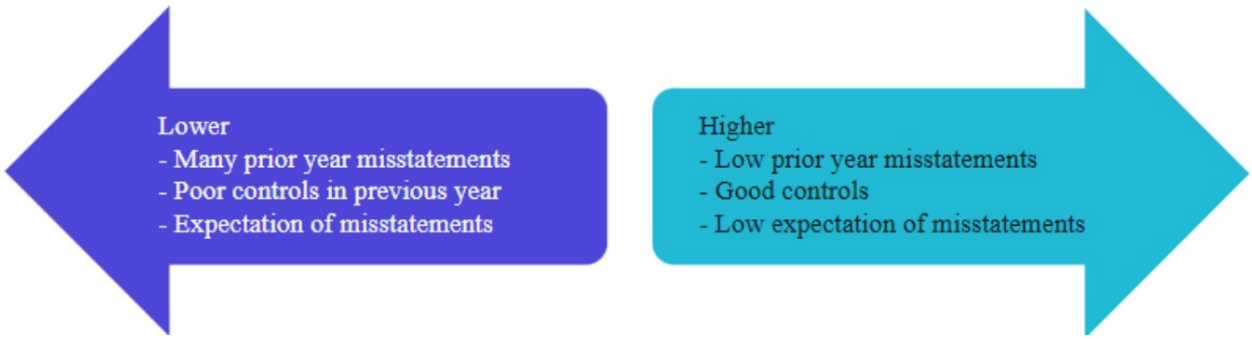
Source: Study guide pp.38-40. See the adjacent benchmarks/thresholds sheet for ranges and performance materiality.

Materiality: benchmarks and thresholds

Module 4 | ISA (UK) 320, 450

Benchmark	Course application	Course range
Profit before income taxes	Consistently profitable trading entity; normally listed/PIE.	5%-10%
Revenue	Volatile profits; relevant not-for-profit income base.	0.5%-2%
Operating expenses	Budget-funded public service.	0.5%-2%
Total assets	Asset-based entity / relevant debt-funded entity.	0.5%-2%
Net assets	Investment trust.	0.5%-5%

Keep the thresholds distinct



Read the scale: Poor controls, prior misstatements and expected errors support lower performance materiality; good controls and fewer expected errors can support higher performance materiality. This changes testing, not the users' overall materiality benchmark. Source visual: study guide printed p.40.

Overall materiality: Financial statements as a whole. **Specific materiality:** Lower threshold for particular sensitive classes/disclosures where appropriate.

Performance materiality: Below overall materiality to address aggregation of undetected and uncorrected misstatements; the guide gives 50%-75% as a common judgement range, not an automatic rule.

Clearly trivial: Below this, items need not be accumulated; it is not another name for immaterial. **Tolerable error/misstatement:** The specified threshold for the particular procedure/sample.

Nature matters: Related-party disclosures, covenant breaches and profit-linked remuneration may matter despite a small amount. Reassess materiality as actual results and risks change.

Sources: Study guide pp.38-40; Workshop 2 item 4 Q2 answer p.2; M4 Skills Builders Q1; Handbook ISA 320, 450. Confirm benchmark ranges against the study guide, not a generic rule of thumb.

Laws, related parties and estimates

Module 5 | ISA (UK) 250, 540, 550

Laws and regulations

1. **Understand the issue:** Which law/regulation, actual or suspected breach, and evidence? Distinguish direct financial-statement effects from wider operational compliance.
2. **Explain the financial effect:** Fines, compensation, provisions, disclosure, licence loss or going concern. Do not assume every breach has a quantifiable provision.
3. **Obtain evidence:** Inspect regulator/legal correspondence, board minutes and management's assessment; seek legal advice where needed. Evaluate management integrity and wider audit implications.
4. **Communicate and conclude:** Consider governance and external reporting duties, confidentiality and legal restrictions. Do not recommend tipping off a suspected money launderer.

Related parties

Find them: Ask management; inspect ownership/directorship information, minutes, contracts, unusual journals and significant transactions outside normal business. Management's list is not conclusive.

Test them: Understand business rationale, terms, authorisation, amount, outstanding balance and disclosure. Significant unusual related-party transactions require particular attention.

Material by nature: A related-party transaction or omitted relationship disclosure can matter below numerical materiality. Establish the relationship, inspect agreement/payment and assess the disclosure; do not dismiss it on amount alone.

Accounting estimates

Stage	Questions and procedures
Understand	What method/model, assumptions and data were used? Who prepared/reviewed it? What uncertainty, complexity, subjectivity or bias exists?
Test	Recalculate; test data completeness/accuracy; corroborate assumptions; inspect post-year-end outcomes where relevant; consider an auditor point estimate/range.
Challenge	Compare prior estimates with outcomes; investigate one-sided assumptions, unsupported changes and omitted contrary evidence.
Conclude	Is the estimate reasonable and disclosure adequate? Is the issue a known misstatement or insufficient evidence? Assess materiality and reporting if unresolved.

Claims: Inspect claimant/legal correspondence, enquire of lawyers, recalculate estimates and inspect board discussion. Link evidence to obligation, likelihood, amount and disclosure; management's estimate is not corroboration.

Answer construction: Name the uncertainty and link each procedure to a specific assumption, input or disclosure. 'Check the provision is reasonable' is not a designed test.

Sources: Study guide pp.46-54, 81-82; M5 Skills Builders Q1; Workshop 3 item 3 issues 1 and 5; M5 APQs Q1/Q02. Handbook ISA 250A/B, 540, 550; Code section 360.

Using experts, internal audit and service organisations

Module 5 | ISA (UK) 402, 500, 610, 620

Work used	Evaluate before reliance	What to do next
Management's expert	Competence, capability, objectivity; relevance of expertise and relationships.	Understand work; test methods, assumptions and source data; assess whether findings support the accounting.
Auditor's expert	Competence, capability, objectivity and agreed scope/roles.	Evaluate adequacy of findings, methods, assumptions and data. Auditor retains responsibility for the opinion.
Internal audit function	Objectivity; competence; systematic and disciplined approach including quality management.	Assess relevant work's scope, evidence, review and conclusions; perform appropriate work on what is used. Conclude whether and where reliance is possible.
Service organisation	Nature/materiality of outsourced services; user-entity controls and interaction; relevant service controls.	Obtain information/report, contact or visit provider or use another auditor as necessary; assess complementary user controls.

Competence vs capability

Competence: the relevant knowledge, qualifications and experience. **Capability:** the practical ability, time and resources to apply that competence to this work.

Internal audit: avoid a one-sided answer

Strengths: Independent reporting to audit committee, trained staff, relevant IT skills, structured programmes and reviewed working papers.

Weaknesses: Management directs coverage, conflicts from dual roles, missing documentation, inadequate risk-based planning or quality review.

Conclusion: Explain whether weaknesses prevent use, whether limited areas remain usable and what additional work is needed. Do not merely list strengths/weaknesses.

Direct assistance: The Handbook's ISA (UK) 610 prohibits using internal auditors as direct assistants on the audit. This differs from using work already performed by an adequately evaluated internal audit function.

Service reports: do not confuse design with operation

Type 1: Description/design at a date does not demonstrate operation throughout the period. **Type 2:** Includes operating-effectiveness evidence over a period. Assess period coverage, scope, auditor and exceptions; test relevant controls retained by the client.

Relationships and reporting lines

Expert objectivity: A financial interest or close connection can undermine objectivity despite technical experience. Evaluate the connection and need for independent work or an auditor's expert.

Internal audit: Governance reporting can support objectivity, but operational/finance responsibilities or incomplete files may undermine use of particular work. Assess the actual role, period and evidence.

Sources: Study guide pp.51-54; M5 Skills Builders Q1/Q2; M5 APQs Q1/Q02; AAPQs Q3. Handbook ISA 402, 500, 610, 620.

Controls: key control or weakness?

Module 6 | ISA (UK) 315, 330, 265

Choose the correct answer format

Key controls requirement	Weaknesses requirement
Identify an effectively designed control.	Identify the absent, badly designed or poorly operated control.
Explain the misstatement it prevents/detects/corrects.	Explain the operational or financial-statement consequence relevant to your role.
Design a test of its operating effectiveness.	Recommend a specific control, owner, timing and evidence.

Do not mix them: A substantive invoice test is not automatically a test that management's approval control operated. A poorly designed control is not a key control merely because it appears in the system notes.

1. **Understand the process:** Initiation, authorisation, processing, recording, reconciliation and review. Identify IT access and segregation of duties.
2. **Assess design and implementation:** Would this control address the risk if applied? Has it actually been implemented? Enquiry alone does not establish implementation.
3. **Test operation when relevant:** Inspect signatures/logs, observe operation or reperform the control. Cover the relevant period and investigate exceptions.
4. **Evaluate failures:** Identify cause, frequency and affected population. Reassess reliance and substantive work; communicate significant deficiencies appropriately.

Control -> objective -> evidence | M6 Skills Builders Q1

Control: Monthly PPE-register reconciliation to nominal ledger, prepared by a clerk and reviewed by the financial controller, with differences investigated.

Why key: Reduces the risk that underlying PPE records do not agree to the financial-statement ledger.

Test: Inspect monthly reconciliations for controller review and documented resolution of differences. Reperform selected reconciliations where appropriate to the requested test.

Exclude: Unrestricted access to amend the PPE register is poorly designed; it does not qualify as an effectively designed key control.

Weakness -> implication -> remedy | Workshop 2 item 2

Weakness: Payroll staff also amend the HR masterfile. **Implication:** They could create fictitious staff or change pay rates and process payments, causing fraud/error in payroll.

Recommendation: Restrict amendments to HR, or require independent HR review and authorisation of payroll-originated changes, evidenced in the system.

Timing trap: Approval after payment does not prevent an unauthorised payment. Test whether review occurred before the relevant processing/payment point.

Sources: Study guide pp.56-65; M6 Skills Builders Q1/Q2; Workshop 2 item 2/03; AAPQs Q27; December 2025 examiner report, controls feedback.

Tests of controls: design, objective and evidence

Module 6 | Test the control, not only the recorded figure

1	**Risk and assertion:** Identify what can go wrong, the transaction/balance and correct assertion set. Consider existing compensating controls.
2	**Objective:** What should the control prevent, or detect and correct? Authorisation, segregation and reconciliation are activities; link them to the misstatement.
3	**Design/implementation:** Would it achieve its objective if applied? Is it actually in use? Enquiry alone does not establish implementation.
4	**Operation test:** Technique + control population/period + evidence of performance + what is checked. Combine enquiry with inspection, observation or reperformance.
5	**Consistency:** Cover the relevant period, different performers and high-risk times. Check reviewer identity, timing, challenge and resolution of exceptions.
6	**Conclusion:** State reliance supported/not supported for the objective and period; investigate deviations and assess substantive work and communication.

Objective / assertion	Control test	Different substantive test
Payroll Occurrence / Accuracy	Inspect sampled timesheets throughout the year for manager approval of hours before processing and follow-up of unusual hours.	Recalculate gross pay using authorised hours and contracted rates; compare with payroll.
PPE Completeness / Accuracy, valuation and allocation	Inspect register-to-ledger reconciliations for independent timely review and resolved differences; reperform selected reconciliations.	Agree closing register to ledger and test additions/disposals to source evidence.

Signature is not enough: Establish what the reviewer checked, whether review was precise enough and whether it occurred before the relevant processing/payment point.

Population: Selecting only approved orders cannot identify all unapproved orders. Choose a population in which bypasses would be visible.

Automated controls: Test configuration/known expected outcomes and exceptions; assess supporting access/change controls. A report's existence does not show management reviewed it.

Prior-year tests: The guide permits reliance in some circumstances, but requires current-year retesting for significant risks or high reliance. Assess changes and period coverage; do not automatically carry forward last year's conclusion.

Sources: Study guide pp.56-58, 65; WS2 slides 73-80; SB M6 Q1/Q2; AAPQ 27. Assertion links are applications of the supplied framework.

Control objectives and tests: sales and purchases

Module 6 | Select the risk addressed

Objective / assertion	Control to evaluate	Test of operation
Sales Occurrence	Matched order/GDN/invoice; duplicate rejection.	Inspect match evidence and GDN 'invoiced' status; test rejection of a second invoice for the same GDN.
Sales Completeness	Reviewed un-invoiced GDN report and sequence checks.	Inspect review/follow-up; reperform a sequence/matching check and inspect resolution of gaps.
Sales Accuracy / Cut-off	Approved prices/discounts; delivery-based posting and cut-off review.	Inspect master-file/override approvals and evidence of cut-off review using actual delivery dates.
Receivables Accuracy, valuation and allocation	Credit checks/limits; reviewed ageing and collection action.	Inspect credit approval before customer acceptance; inspect ageing reviews and action on overdue items.
Purchases Occurrence / Accuracy	Approved suppliers/POs and independent invoice/PO/GRN match.	Inspect sampled purchase packs for independent matching/approval before processing.
Payables Completeness	GRNI and supplier-statement reconciliations.	Inspect timely review and resolved differences; reperform selected checks including unmatched receipts.
Payments Occurrence / Accuracy	Independent approval of complete batch and changes/exclusions.	Inspect approval before payment; reconcile approved batch to bank instruction; inspect approval of exclusions.

Boundary check: What was excluded, altered or filtered before the reviewer saw it? Approval of the remaining payment batch does not authorise removed invoices.

IT general controls: Access, program changes and operations support processing controls. Inspect approvals, leaver removal, tested changes and backup restoration, not only backup creation.

Sources: Study guide pp.58-65; WS2 slides 75-77, 84; APQ M6 Q1/Q2; AAPQ 27. These are tailored test designs, not verbatim model answers.

Control objectives and tests: payroll and assets

Module 6 | Select the risk addressed

Objective / assertion	Control to evaluate	Test of operation
Payroll Occurrence / Completeness / Accuracy	HR-authorised changes; approved hours/rates; HR-to-payroll reconciliation and exception reports.	Inspect approvals before processing; inspect reviewed omission/exception reports; reperform selected review checks.
PPE Completeness	Authorised disposal workflow and register reconciliation.	Inspect evidence disposals reach register clerk and are processed; approval alone does not prove register updating.
Inventory Existence / Completeness	Independent counts, controlled sheets and investigated differences.	Observe count/sheet controls; inspect discrepancy review and approved adjustments.

Review controls and segregation

Payroll: Separate HR master-file changes from processing/payment. Inspect authorised joiners/leavers/rates, approved hours and reviewed exception reports before payment. Reconcile HR and payroll for completeness.

PPE: Authorised disposal forms do not prove all disposals were identified or register entries updated. Inspect the workflow and reconciliations for the objective actually tested.

Inventory: Observe count instructions, independence, sheet control and movement controls. Inspect investigation and approval of count differences. Physical count evidence does not alone establish ownership or valuation.

IT general controls: Access, program changes and operations support processing controls. Inspect authorisation, tested changes, leaver removal and restoration tests.

Sources: Study guide pp.56-65; WS2 slides 73-84; SB M6; AAPQ 27.

Control results and management letters

Modules 6, 10 | Reliance -> response -> communication

1	**Finding:** What failed, when, how often and under whose responsibility? Separate missing documentation from proof of non-performance.
2	**Cause/reach:** Identify affected population/period, systematic issues and fraud indicators. Assess consequences for other controls.
3	**Alternative:** Test a compensating control addressing the same risk during the relevant period; do not assume it worked because management describes it.
4	**Response:** Explain higher control risk -> higher ROMM -> lower acceptable detection risk -> more persuasive/extensive substantive work. Specify nature, timing and extent.
5	**Communication:** Record finding, implication, recommendation and management response; communicate to appropriate recipients promptly.

Timing / matter	Communication and follow-up
Interim controls findings	Communicate at interim so management can act before year end; do not wait for final reporting to raise urgent issues.
Significant deficiency	Report promptly and in writing to management and those charged with governance. Describe deficiency and potential effects.
Final audit findings	Communicate further/new and unresolved matters; include relevant final governance/management-letter reporting.
Following audit	Check implementation and effectiveness; repeat unresolved matters where appropriate. A promise to fix is not evidence of operation.

Management letter: Control failure/weakness/absence -> implication -> practical recommendation -> response/action. Identify owner, timing and evidence. Distinct from the audit opinion and management representations.

Illustration | AAPQs Q27: compensating control

Facts needed: Overtime exceeding 20% of standard hours requires factory-manager approval. In October-December the manager is absent. A payroll exception report identifies timesheets varying by at least 20%; the operations director authorises it before payment. The auditor tests those reports and finds approval evidenced for all three months.

Order of evaluation: Identify the original risk -> assess whether the alternative report/reviewer addresses it -> test timing, review and follow-up -> conclude on reliance for that period. A missing original signature alone does not establish control failure.

Contrast: If receipt checks fail during a warehouse manager's absence and no effective alternative is evidenced, investigate the affected population and increase relevant substantive work. Approval of PPE disposals, meanwhile, does not prove all disposals reached the register.

Do not equate: Control deviation with a monetary misstatement; effective controls with no substantive work; or a recommendation with evidence that the weakness has already been resolved.

Sources: Study guide pp.23, 58, 104-105; AAPQ 27; WS2 slides 73-80.

Substantive analytics: the working sequence

Module 7 | ISA (UK) 520

1	**Check suitability and data:** Predictable relationship? Reliable data? Appropriate disaggregation? Establish a sufficiently precise expectation and the investigation threshold.
2	**Build the expectation independently:** Use policy, price, volume, staff numbers, rates and dates. Explain assumptions; do not simply apply a percentage to the actual figure being tested.
3	**Compare:** Show expectation, actual and signed variance with a stated sign convention. Compare the absolute difference with tolerable error for each required component.
4	**Conclude:** State which items need investigation. A total below threshold can hide offsetting component differences.
5	**Investigate and corroborate:** Link possible reasons to scenario facts. Improve the model where needed and obtain supporting evidence; enquiry alone is not corroboration.

Depreciation: build the expectation

Decision	Working
Base	Qualifying cost less residual value; exclude land/non-capital items.
Method	Straight line: depreciable base / useful life. Reducing balance: relevant carrying amount x rate.
Period	Apply available-for-use/disposal dates and stated convention; split additions/disposals where needed.
Comparison	Actual - expected = signed variance; compare absolute difference with investigation threshold.

Follow-up: Establish whether the cause is base, method, life/rate, period or posting. Corroborate and quantify the supported error; a variance is not automatically the correction.

Sources: Study guide pp.68-70; M7 Skills Builders Q1; M7 APQs Q1/Q02; AAPQs Q1. Example amounts retain the supplied rounding.

Depreciation: worked order of operations

Module 7 | Illustration from M7 Skills Builders Q1, Appendix 1 and solution

Purpose: Show why the cost base is corrected before applying the depreciation rate. All facts needed for this illustration are below; no other question exhibit is required.

Given fact	Input
Asset ready for use	1 January; reporting date 31 December.
Recorded cost	£930,000, including £90,000 marketing costs.
Policy / life	Straight line over eight years; no residual-value deduction used in the supplied working.
Recorded annual charge	£116,250.
Investigation threshold	£7,500.

1	**Correct the base:** £930,000 - £90,000 non-capital marketing = £840,000. Applying the rate to recorded cost first would preserve the error.
2	**Apply method and period:** £840,000 / 8 years x 12/12 = £105,000 expected charge. The asset is available for the whole year.
3	**Compare:** £116,250 actual - £105,000 expected = £11,250 excess charge.
4	**Evaluate:** £11,250 exceeds £7,500; investigate the capitalised marketing and depreciation entries. The source explains that the recorded charge used the uncorrected cost.
5	**Keep corrections separate:** The £90,000 capitalisation issue and the £11,250 depreciation difference are different effects. Establish original entries and net asset/expense consequences before proposing journals.

Reusable sequence: Qualifying base -> method/life -> time -> expected charge -> variance -> threshold -> corroboration/correction. In a new question, replace every input and apply its actual policy.

Source: M7 Skills Builders Q1, Appendix 1 and solution (asset-cost/depreciation extract). Only the relevant asset is used; other question facts are not needed.

Analytical models: revenue and deferred income

Module 7 | Separate drivers and periods

1. **Separate streams:** Subscriptions, annual memberships, transaction fees and advertising have different drivers.
2. **Separate periods/groups:** Split price changes, joiners/leavers, acquisitions and free periods.
3. **Build independently:** Use dated operational records/contracts; check their completeness before relying on the model.
4. **Compare:** Show actual, expected and variance by stream; investigate and corroborate the cause.

Stream	Expectation
Monthly subscriptions	Sum paying customers x applicable monthly rate for each month/group.
Transaction fees	Sum transaction volumes x applicable fee for each rate period/group.
Annual service paid upfront	Where service is earned evenly: fee x earned service period / total covered period, by agreement/cohort. Otherwise use actual performance pattern.
Deferred income	Sum fees relating to service after reporting date; reconcile receipts, earned revenue and ledger deferral.

Averages and timing

Do not assume: Opening/closing average is only an approximation; late growth, seasonality and churn can distort it. Upfront cash is not automatically earned revenue. Use actual service dates rather than a fixed half-year deferral.

Evidence: Dated membership records, contract prices, cancellations/free periods, transaction logs, cash and deferral journals. Match units and periods.

Sources: Workshop 3 item 1 solution pp.1-3; M7 Skills Builders Q2; Workshop 2 item 1; Workshop 3 item 5 supporting accounts/minutes. Study guide pp.68-70.

Analytical models: payroll and other costs

Module 7 | Rate, population, period and eligible earnings

1. **Base:** Approved current rates or reliable prior per-head pay; establish what is already included.
2. **Segment:** Grade/department, headcount changes and pay-rise dates. Calculate each rate/headcount period separately.
3. **Other pay:** Add overtime, bonuses, redundancy and benefits using eligibility/timing; avoid double-counting items in the base.
4. **Contributions:** Apply the stated pensionable/eligible earnings, rates and thresholds; different contributions may use different bases.
5. **Evaluate:** Compare by category with the threshold and model precision; corroborate explanations.

Component	Working / check
Basic salary	Annual rate x relevant headcount x fraction of year; sum segments.
Hourly / overtime	Approved hours x applicable rate/premium.
Benefits / bonuses	Eligible staff x amount, using qualifying dates.
Pension	Pensionable earnings x contribution rate.
Employer contributions	Apply rate/threshold to eligible earnings using required employee/period basis.

Illustration | M7 Skills Builders Q2

Facts: Year ends 31 October. Average production headcount 1,375; prior average annual basic pay £30,576; 5% rise from 1 April. The model uses the supplied average headcount throughout.

1. **Old-rate period:** November-March = five months. £30,576 x 1,375 x 5/12 = £17,517,500.
2. **New-rate period:** April-October = seven months. £30,576 x 1.05 x 1,375 x 7/12 = £25,750,725.
3. **Total / lesson:** £43,268,225. Split the rate periods before adding them; do not apply the rise to the whole year. This isolates basic pay, not the other payroll categories.

Follow-up: Staff mix, turnover, overtime and casuals can invalidate prior averages. Use payroll/HR, clocking and award records. Quarter-end headcount may not represent the whole quarter.

Sources: Study guide pp.68-70; M7 Skills Builders Q2; M7 APQs Q2. The illustration isolates basic production pay; it does not reproduce the question's other payroll categories.

Design substantive procedures

Module 8 | ISA (UK) 500

A complete procedure: Action + item/population + evidence + what is being established. Tailor it to the risk, assertion and period.

1	**Set the objective:** Balance/transaction/disclosure and relevant assertion. Check whether the requirement excludes standard tests, analytics or particular balances.
2	**Understand the accounting:** Recognition, measurement, cut-off, classification and disclosure in this scenario. Identify the data and judgement being tested.
3	**Choose evidence and direction:** Select the transaction/balance assertion set first. Identify whether the item increases or reduces the account before choosing direction; use the directional-testing sheet.
4	**Design the test:** State selection, document, action and comparison. Explain how exceptions will be investigated when relevant.
5	**Check coverage:** Use risks, accounting policies, assertions, common procedures and standard tests as a planning checklist, not a list to reproduce blindly.

Object tested	Official assertion labels / evidence focus
Transactions and related disclosures	Occurrence; Completeness; Accuracy; Cut-off; Classification; Presentation.
Balances and related disclosures	Existence; Rights and obligations; Completeness; Accuracy, valuation and allocation; Classification; Presentation.
Purpose and direction	Explain how the actual evidence addresses the assertion. Use the directional-testing sheet for increasing/decreasing items.

Write a procedure that stands alone

Too vague: Check receivables are recoverable.

Receivable valuation: Select overdue balances from the ageing report; inspect subsequent bank receipts and customer correspondence to assess recoverability and adequacy of the allowance. Insert relevant balances/dates from the current question.

Too vague: Inspect payroll.

Payroll allocation: Select allocation journals; inspect supporting timesheet analysis and recalculate the share charged to each activity/fund. Compare with grant/fund eligibility terms; identify ineligible costs.

Reliability: External evidence obtained directly by the auditor is generally more persuasive than unsupported management explanation. Resolve contradictory evidence; a representation letter does not replace available supporting records.

Sources: Study guide pp.73-84; M8 Skills Builders Q1/Q2; Workshop 3 item 2; M4 Skills Builders Q2; September 2025 examiner report, procedures feedback. Handbook ISA 500.

Work programme: coverage and evidence quality

Modules 8-10 | Build the programme, then evaluate the evidence

1	**ROMM:** Start with assessed risks and relevant assertions; select the balance/transaction/disclosure requiring evidence.
2	**Approach:** Test movements or closing balance as appropriate. Consider whether substantive analytics is sufficiently precise or tests of detail are needed.
3	**Accounting policy:** Establish recognition, measurement, classification and disclosure; apply the actual policy and scenario terms.
4	**Assertions:** Use the official transaction/balance set. Check that every test addresses the assertion required.
5	**Common procedures:** Choose account-specific evidence such as confirmation, subsequent receipts/payments, physical inspection or estimate testing.
6	**Standard tests:** Include relevant reconciliation, casting, opening balances, policies and disclosures unless the requirement excludes them.

Standard tests: state the actual work

Reconcile: Listing/movement schedule to ledger, trial balance and financial statements; investigate differences. **Cast/cross-cast:** Check arithmetic of schedules/listings. **Opening:** Agree to prior audited statements and obtain relevant opening-balance evidence. **Policies:** Assess appropriateness and consistency. **Disclosures:** Check applicable requirements and supporting evidence.

Sufficient appropriate evidence

Sufficiency: Quantity. **Appropriateness:** Quality: relevance and reliability. More irrelevant evidence does not repair an assertion mismatch. Evaluate source, how obtained, controls over preparation and contradictory evidence.

External versus internal: Direct independent evidence is generally more persuasive than unsupported explanation. Test completeness/accuracy of entity-produced reports used as evidence. A representation letter is not a substitute for obtainable documents.

Conclude: Does the evidence address all relevant assertions and the reporting date? Resolve exceptions, quantify supported misstatements and identify remaining uncertainty before deciding the report.

Sources: Study guide pp.73-75, 84, 87-92, 98-100; WS3 slides 29-35, 50-54. This organises the supplied six-step programme and evidence principles.

Directional testing and evidence evaluation

Modules 8-9 | Identify the account and whether the item increases or reduces it

Object tested	Source -> accounting record	Record -> source
Inventory	Floor -> listing: Completeness.	Listing -> floor: Existence.
Revenue	Delivery evidence -> sales: Completeness.	Sales -> delivery evidence: Occurrence.
Receivable from sale	Genuine outstanding sale -> listing: Completeness.	Listing -> invoice/delivery evidence: Existence.
Payable from purchase	Invoice/GRN -> payables/GRNI: Completeness.	Listing -> invoice/GRN: Existence.
PPE addition	Asset/purchase evidence -> register: Completeness.	Register -> asset/purchase evidence: Existence.

Reducing items change the balance-level objective

Receipts/credit notes reducing receivables: If genuine reductions are omitted, receivables are overstated: Existence concern. Trace reductions into the ledger. If recorded reductions are fictitious, receivables are understated: Completeness concern; vouch reductions to evidence.

Payments/returns reducing payables: Omitted genuine reductions overstate payables; fictitious recorded reductions understate them. Explain the balance effect before naming the assertion.

PPE disposals: Trace genuine disposal evidence to register removal for Existence of remaining assets; vouch recorded disposals to genuine evidence for Completeness of remaining assets.

Perform, do not merely propose

1. **Compare:** Dates, amounts, references, currency and counterparties; show the working/matching allowed by the exhibits.
2. **Explain:** Timing, omission, misposting, valuation, dispute or missing evidence? Separate established fact from hypothesis.
3. **Follow up:** Specify document, action and purpose needed to resolve uncertainty.
4. **Conclude:** Supported, correction required or unresolved pending evidence; assess materiality where relevant.

Payables branches: Before accruing an un-invoiced receipt, check GRNI/accruals. Equal opposite supplier differences may be misallocation, not net understatement. Returns need despatch/credit-note evidence; payments in transit need bank/cashbook evidence. No reply needs alternative evidence, not automatic agreement.

Sources: WS3 slides 10-14, 56-63; study guide pp.73-80, 88-92; APQ M9 Q1. Decreasing-item examples apply the supplied directional principle.

Revenue, receivables and confirmations

Module 8 | ISA (UK) 505

Revenue and receivables

Risk	Tailored procedure
Premature revenue	Inspect contracts and signed delivery/performance evidence around year end; compare with invoice and posting dates. Payment alone does not establish earned revenue.
Omitted income	Trace independent source records to ledger: till totals, grant letters, event records, lawyer correspondence for bequests or broker income reports.
Unrecoverable receivable	Inspect ageing, subsequent receipts, disputes and administrator correspondence; assess allowance and disclosures.
Advance subscriptions	Recalculate earned/unearned periods from contracts and membership records; agree deferral journal.
Incorrect discount / credit	Inspect approved terms and credit notes; recalculate and check correct-period recording.

External confirmation sequence

1. **Control the request:** Select balances, verify addresses, send and receive under auditor control. Assess authenticity and investigate unusual replies.
2. **Reconcile differences:** Identify timing, errors, currency, disputes or unrecorded transactions. Agree each reconciling item to appropriate evidence.
3. **Follow up non-replies:** Send another request and perform alternatives such as subsequent receipts and underlying sales/delivery evidence.
4. **Conclude:** A reply is not automatic assurance over valuation; a disputed balance may require recoverability work. Evaluate exceptions and evidence sufficiency.

Payables confirmation: resolve the difference

Currency: Translate the confirmed foreign balance using the relevant reliable closing rate before comparison; verify same currency/date.

Payment in transit: Match difference to cashbook/bank evidence; establish payment/clearing dates and correct posting period.

Returned goods: Match to despatch/return evidence and subsequent credit note; establish date and entitlement.

No reply: Repeat and perform alternatives: supplier statements, invoices/receipts and subsequent payments. Check GRNI/accruals before proposing another liability.

Supplier denies trading: Inspect original order, receipt and invoice to establish counterparty and genuine obligation; investigate authenticity/misposting.

Income completeness: Identify each stream and independent source population: till totals, grant letters, event records, bequests or investment statements. Recorded ledger entries alone cannot establish omitted income.

Sources: Study guide pp.76-77, 79-80; M8 Skills Builders Q2; Workshop 3 item 4 question pp.1-2 and solution p.1; AAPQs Q10. Handbook ISA 505, 500.

Inventory, PPE and intangibles

Module 8 | ISA (UK) 501, 500

Area	Tests and scenario variations
Inventory existence / completeness	Attend count where required; evaluate instructions; observe counting; inspect condition; perform record-to-floor and floor-to-record test counts; reconcile final listing.
Inventory valuation	Agree cost to invoices/costing records; test overhead allocation where relevant; compare cost with NRV using subsequent sales and selling costs; investigate slow, damaged or obsolete items.
Inventory cut-off	Inspect goods received/despatched around year end and agree to purchases/sales and inventory records. Consider third-party stock and ownership terms.
PPE additions	Inspect invoices, receipt and capex approval; distinguish capital from repairs; inspect assets and ownership; test correct period and relevant directly attributable costs.
PPE disposals	Inspect sale/trade-in documents; agree proceeds; recalculate carrying value and gain/loss; check removal from register and ledger.
Depreciation	Recalculate using correct depreciable base, life, method and start/stop dates; exclude land; assess residual values and changes in use.
Revaluation / impairment	Evaluate valuer, report, assumptions and affected asset class; inspect condition, lost contracts, scrappage plans and recoverability calculations.
Intangibles	Inspect project records and evidence supporting recognition; separate research, development, repairs, marketing and training; test amortisation, impairment and disclosures.

Risk -> procedure -> conclusion

New leased assets: Inspect contracts and test rights/obligations and recognition/measurement; owned-asset invoice testing alone may miss them.

Assets awaiting scrappage: Inspect condition, plans and carrying amount; assess recoverability/write-down.

Connected valuer: Assess objectivity as well as competence/capability; inspect assumptions and consider independent expertise.

Distinguish expenditure types

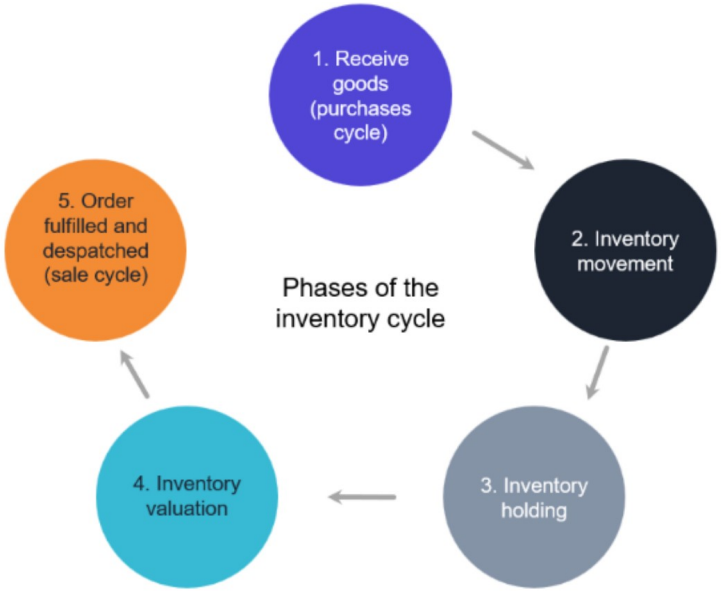
Intangibles: Separate maintenance/bug fixes, qualifying development, suspended projects, training and advertising. Department coding does not establish capitalisation; apply recognition/recoverability criteria.

Trap: The accounting policy supplied in the question may be stated as compliant. Do not spend the answer attacking a policy the requirement expressly asks you to accept; apply it to the actual transactions.

Sources: Study guide pp.77-81; M8 Skills Builders Q1; Workshop 1 item 5; M8 APQs Q1; AAPQs Q7/Q13/Q28.

Inventory: follow the physical flow

Modules 6, 8 | Source visual: study guide printed p.63 (PDF page 64)



Phase	Control/evidence focus	Assertion link
Receive goods	Count/inspect receipts; match PO/GRN; trace pre-year-end receipts to inventory and payables/GRNI.	Completeness / Existence; transaction Cut-off supports closing balances.
Move inventory	Authorised movement records; location updates and controlled transfers.	Completeness / Existence; investigate duplicate/omitted transfers.
Hold inventory	Safeguarding, counts and discrepancy review; inspect condition/obsolete items.	Existence / Completeness; Accuracy, valuation and allocation.
Despatch / sale	Authorised despatch and matching to invoice; record period and removal from stock.	Revenue Occurrence/Completeness/Cut-off; inventory Existence/Completeness.

Choose the test: Observe/inspect evidence that a control operated for a control test; directly trace quantities, dates or values for a substantive test. Physical presence alone does not establish ownership or valuation.

Sources: Study guide pp.58-65, 76-80; M6 APQs; M8 Skills Builders. Table applies the supplied cycle to the assertion framework.

Accounting decisions: assets and development

Modules 4, 8-10 | Establish treatment before designing evidence

Area	Rule / decision	Audit evidence
Inventory	Lower of cost and NRV; NRV reflects selling price less relevant completion/selling costs. Do not write up simply because selling price exceeds cost.	Cost records, subsequent sales, condition and completion/selling costs.
PPE cost	Probable future benefits and reliable cost. Include purchase price net of discounts and directly attributable costs to intended location/condition. Exclude recoverable VAT, general overheads and post-ready-for-use training/marketing.	Invoice purpose/date, receipt, approval and register; distinguish repairs from additions.
Depreciation	Correct depreciable base, life, method and period; land not depreciated. Apply the case's start/stop convention.	Recalculate and inspect available-for-use/disposal dates, residual values and policy.
Impairment	Recoverable amount is higher of value in use and fair value less disposal/selling costs; write down carrying amount where required.	Indicators, valuation, forecasts, assumptions and recalculation.
Receivables	Assess recoverability and appropriate allowance. Confirmation alone does not prove recovery.	Ageing, subsequent receipts, disputes and customer correspondence.

Development: demonstrate all six conditions

1. **Technical feasibility** of completion.
2. **Intention** to complete and use/sell.
3. **Ability** to use/sell.
4. **Future economic benefits** demonstrable.
5. **Resources** sufficient to complete development.
6. **Reliable measurement** of attributable expenditure.

Before criteria are met: Expense expenditure. Research, training and advertising do not become assets because the development department incurred them. A prototype or management optimism alone does not establish all conditions.

Evidence: Project/feasibility reports, market evidence, budgets/funding, completion plans and cost records. If withheld, distinguish insufficient evidence from a proved recognition error.

Sources: Workshop 1 item 5 question p.2; AAPQ 4 policy appendix; APQ M4 Q1; 2026 T2 Q8-9; study guide pp.34, 76-81. Audit-focused synthesis, not a separate accounting-standard lookup library.

Accounting decisions: obligations, income and journals

Modules 4, 8-10 | Known error or unresolved evidence?

Area	Decision / evidence
Revenue / advance receipts	Earned delivery/service period determines recognition; cash receipt alone does not. Inspect contracts, delivery/performance and membership dates; recalculate deferral.
Payables / accruals	Identify pre-year-end goods/services obligations, including un-invoiced receipts. Inspect GRNs, subsequent invoices/payments and GRNI/accrual schedules before proposing another accrual.
Provision / contingency	Recognise a provision for a present legal/constructive obligation from a past event, probable outflow and reliable estimate. Otherwise assess contingent-liability disclosure unless outflow is remote. Corroborate with legal/regulatory evidence.
Leases	Consider right-of-use asset and related obligation rather than automatically expensing payments; apply contract terms and relevant exceptions. Inspect contract and recalculate.
Foreign currency	Transaction-date rates for transactions; appropriate closing rate for monetary balances. Use reliable rates and keep currencies separate.
Related parties	Establish relationship, terms, balances and required disclosures; omission can be material by nature. Inspect ownership, agreements and minutes.

Journal logic: establish the original entry

Unearned cash received: Debit revenue; credit deferred income. **Unpaid sale not earned:** Debit revenue; credit receivable. Do not create deferred income for cash never received.

Liability already in GRNI: Transfer when appropriate; do not accrue twice. **Wrong supplier:** Reclassify supplier balances; do not automatically increase total payables/expense.

Asset write-down: Debit impairment/expense; credit asset or allowance as appropriate. Confirm the amount from evidence and the accounting treatment.

Conclusion branches

Known error: Evidence establishes required treatment and statements differ. Quantify amount/direction, request correction, assess nature/aggregate materiality and reporting if unresolved.

Unresolved evidence: Treatment/amount cannot be established. Design work to resolve; if unresolved, assess possible effects and the evidence-limitation reporting branch.

Legal claim: A claim alone does not prove a provision. Management's 'remote' description is not conclusive when legal evidence contradicts it. Resolve the evidence before selecting the reporting branch.

Sources: Study guide pp.48-50, 76, 79-82, 90-92; APQ M9 Q1/Q2; Workshop 3 item 1/03/04; 2026 T2 Q8-9.

Liabilities, cash, investments and equity

Module 8 | Match evidence to assertion

Area	Procedures to adapt
Trade payables / accruals	Search post-year-end payments and invoices for unrecorded pre-year-end obligations; reconcile supplier statements; inspect GRNs/unmatched invoices; test cut-off and accrual calculations.
Provisions / contingencies	Inspect legal/regulatory correspondence and board minutes; obtain direct legal evidence; test assumptions, probability, amounts and disclosure. Separate an estimate disagreement from missing evidence.
Bank and cash	Obtain direct bank confirmations; reconcile to ledger; test outstanding items to later statements; inspect restrictions, loans, guarantees and unrecorded accounts. Photocopies alone may not be adequate.
Investments	Confirm holdings with custodian/broker; inspect title; agree valuation to reliable market data or test model; trace income and assess classification/disclosures.
Equity / reserves	Inspect authorised issues, minutes and share records; agree receipts; split nominal capital and premium; reconcile reserves and dividends.
Derivatives	Inspect contract, counterparty confirmation and valuation; recalculate with reliable rates and assumptions; assess classification and disclosures.
Payroll	Agree recorded staff to contracts and authorised hours; trace staff records to payroll for completeness; recalculate pay/deductions; test joiners/leavers and cut-off.

Restricted-fund payroll: eligibility and allocation

Occurrence: Payroll listing -> authorised timesheet. **Completeness:** Authorised timesheet -> payroll listing. **Accuracy:** Recalculate hours x contracted rate.

Fund allocation: Recalculate the weekly journal using time spent on each eligible activity; trace restricted-fund costs to eligible activity. Use ADA to identify missing/duplicated/unusual allocation journals and investigate exceptions.

Scope: If standard tests or analytics are excluded, focus on the specified payroll population/allocation objective. Do not import exclusions from another question.

Opening balances and comparatives

First audit: Obtain evidence that opening balances do not contain misstatements materially affecting the current period; inspect prior statements and predecessor information where available, perform current-period or specific opening-balance procedures, and assess consistent policies.

Comparatives: Agree to prior-period figures and assess consistent presentation/policies; investigate material prior-period misstatements. Consider reporting implications if sufficient evidence cannot be obtained or misstatements remain unresolved.

Sources: Study guide pp.79-84; Workshop 3 item 2; M8 APQs Q2; M11 Skills Builders Q2; Handbook ISA 510, 710, 500, 501.

Interim evidence and roll-forward work

Modules 6, 8-10 | Bridge the evidence to the reporting date

Roll-forward: Evidence over a balance at an interim date does not automatically support the year-end balance. Obtain evidence over intervening movements and closing reconciliations.

1	**Understand changes:** Period length, risk changes, controls changes, unusual events and reliability of movement records.
2	**Reconcile:** Interim balance + increases - decreases = closing balance. Agree movement totals to records and investigate differences.
3	**Analyse:** Compare movements with expectations, budget/prior year; investigate unusual transactions in the intervening ledger.
4	**Test detail:** Select relevant movements in the roll-forward period. For payables, test GRNs, supplier payments and credit notes with the appropriate direction.
5	**Close:** Test year-end reconciliations and reconciling items; conclude whether evidence covers the closing balance/assertions.

Controls tested at interim

Remaining period: Assess changes and obtain evidence supporting operation through the period of intended reliance. Test compensating controls where relevant; do not treat a fixed interim sample as evidence of every later month.

Prior audits: The guide permits reliance in certain circumstances; significant-risk/high-reliance controls are retested each year. Assess changes, risk and evidence relevance rather than automatically carrying forward the conclusion.

Evidence and technique

Inspection: Records/assets. **Observation:** Process at the observed time. **Confirmation:** Direct external response. **Recalculation:** Arithmetic. **Reperformance:** Independently execute the procedure/control. **Enquiry:** Ask and corroborate. **Analytics:** Evaluate relationships and investigate differences.

Contradiction: Resolve conflicting evidence. A management explanation or representation does not override contrary documents or replace obtainable corroboration.

Sources: WS3 slides 56-63; study guide pp.58, 73-84, 88-92. Procedures are organised from the supplied roll-forward approach.

Sampling: select the population and items

Module 9 | Objective, selection and representativeness

Selection	Use and limitation
Random	Each unit has a chance of selection; define population and unit correctly.
Monetary-unit	Value-weighted selection; larger recorded amounts more likely selected. Assess suitability for objective/population.
Haphazard	Non-statistical selection avoiding conscious bias; not a substitute for random statistical selection.
Specific / 100% large items	Target high-value, unusual or risky items. Findings do not automatically represent the untested remainder.

1. **Objective:** Assertion, period, population, sampling unit and relevant strata. For completeness, a recorded ledger alone cannot identify everything omitted.
2. **Size and coverage:** Consider assessed risk, tolerable misstatement/deviation, expected errors and evidence from other procedures.
3. **Selection:** Cover relevant periods and characteristics; distinguish items tested in full from the sampled remainder.
4. **Evaluation:** Investigate cause, project where appropriate, assess sampling risk and decide whether evidence supports the population conclusion.

Use risk, not just closing value

Risk-based selection: A small supplier balance may merit testing because it is a major trading supplier, fell sharply, is a debit balance or relates to capital equipment. Explain the reason; do not select only balances above materiality.

Missing documents: Seek alternative evidence; if unavailable, evaluate the item as a deviation/misstatement as appropriate. Do not replace inconvenient selections merely to remove exceptions.

Sources: Study guide pp.87-89; WS3 slides 64-67; AAPQ 27/28. Selection and response summarise the supplied sampling framework.

Sampling and testing results

Module 9 | ISA (UK) 530

1	**Define population and objective:** Which assertion, period, sampling unit and stratum? Separate individually tested large items from the sampled remainder.
2	**Select appropriately:** Consider risk, tolerable misstatement/deviation, expected errors and representativeness. Statistical and non-statistical methods both require judgement.
3	**Perform and classify:** Apply procedures to selected items; investigate differences. An unavailable document is not automatically a harmless exception. Seek alternatives and assess the consequence if none exist.
4	**Investigate cause:** Is the issue systematic, fraud-related, confined to a period/type, or demonstrably anomalous? 'One-off' needs support.
5	**Project where appropriate:** For tests of detail, project representative sample misstatements to the population actually sampled; evaluate anomalies separately. Do not project large items tested in full across the remainder.
6	**Evaluate and conclude:** Consider projected misstatement, anomalies, sampling risk and other evidence against tolerable misstatement. Request investigation/correction or revise testing where the sample does not provide a reasonable basis.

Calculation scaffold

Value-ratio projection, when appropriate to the sample design: Misstatement in representative sample / sample book value x book value of the sampled population.

Keep separate: Known errors in items tested 100%; projected error in the sampled remainder; supported anomalies; other uncorrected misstatements. Do not double-count the sample error already included in its projection.

Control tests: Evaluate deviation rate, nature and cause against the planned reliance and tolerable deviation. A control deviation is not itself the monetary misstatement in the financial statements.

Evidence evaluation, not automatic arithmetic

Small projected amount: Does not remove a serious fraud indicator or an exception affecting another assertion.

Near threshold: Consider sampling risk and whether evidence supports a conclusion, not only whether the point estimate is just below the threshold.

Anomaly: Requires a high degree of certainty that it is not representative, with additional work supporting that conclusion.

Untested remainder: Reconcile total population less separately tested items and sampled items. Assess remaining amount/risk; do not assume immateriality or copy an unreconciled total.

Sources: Study guide pp.87-89; AAPQs Q27/Q28; M9 APQs Q1; Handbook ISA 530, especially evaluation of results and projection requirements. Projection scaffold is synthesis of the method, not a supplied numerical case.

Outstanding matters and the SAM

Module 9 | ISA (UK) 450

1	**Explain the issue:** What accounting/evidence problem exists and which balance or disclosure is affected? Distinguish an error from an unresolved question.
2	**Quantify where possible:** Show the amount and direction; compare with overall/specific materiality and clearly trivial threshold. Consider nature and aggregate effects.
3	**Design further work:** Name the source evidence and what it will resolve. If the amount is already established and clearly trivial, do not invent unnecessary testing.
4	**Propose the correction:** Use a balanced journal where required; separate profit, assets, liabilities and disclosure-only issues. Confirm the counter-entry from the facts.
5	**Conclude and communicate:** Request correction; accumulate non-trivial items; assess remaining uncorrected amounts and reasons; consider report implications if requested.

Evaluate amount, nature and evidence

Finding	Evaluation / response
Unearned annual receipts	Recalculate unearned service period; compare with materiality and inspect deferral.
Small confirmed error	Compare with clearly trivial threshold and consider nature.
Missing related-party disclosure	Assess materiality by nature as well as amount; inspect relationship/agreement and disclosure.
Balance absent from confirmation	Resolve evidence through direct follow-up/alternatives; not yet a proved misstatement.

SAM working layout

Issue / account	Debit	Credit	Material?	Corrected? / conclusion
Revenue received in advance but unearned	Revenue	Deferred income	Compare amount and nature.	Request correction; record outcome.
Unpaid sale reversed because not earned	Revenue	Receivable	Confirm the actual original entry.	Do not automatically credit deferred income.
Asset impaired	Impairment expense	Asset / impairment allowance	Compare individually and in aggregate.	Obtain support for recoverable amount.

Counter-entry: Establish the original transaction. Unearned cash received normally creates deferred income; reversing an unearned unpaid sale reduces receivables. Do not copy a journal from different facts.

No netting shortcut: Opposite errors can affect different disclosures or mask bias. Evaluate individually and in aggregate; a small net total is not enough.

Sources: Study guide pp.90-92; Workshop 3 item 3; M9 Skills Builders Q1/Q2; M9 APQs Q2; AAPQs Q9. Source SAM contradictions are flagged, not adopted.

Going concern: indicators and evidence

Module 10 | ISA (UK) 570

Start: Management assesses going concern; the auditor evaluates the assessment and evidence. The course uses at least 12 months from approval of the financial statements, not simply 12 months from the year end.

1	**Identify the indicator:** Losses, net current liabilities, covenant breach, expiring facilities, lost contracts, litigation, supplier problems or operational disruption.
2	**Explain the cash consequence:** Why might the entity fail to meet obligations? Connect the event to amount, timing and financing, not just reduced profit.
3	**Evaluate management's response:** Is the plan feasible, within management's control and supported by evidence? Distinguish signed funding from hoped-for support.
4	**Test forecasts and mitigations:** Check method, data, assumptions, arithmetic, period and sensitivities; corroborate facilities, contracts and support.
5	**Conclude separately:** Is the basis appropriate? Does a material uncertainty remain? Are disclosures adequate? Then determine reporting consequences.

Indicator / assumption	Specific evidence
Loan renewal / covenant breach	Direct bank correspondence, signed facility, terms, covenant calculation and waiver where relevant.
Major new customer	Signed contract, delivery capability, subsequent sales and customer correspondence; challenge volume and timing.
Shareholder/group support	Written commitment, duration, enforceability where relevant and evidence the supporter can provide funds.
Cost inflation / shortage	Supplier terms, recent invoices, industry evidence and forecast timing; test ability to pass on costs.
Legal claim	Lawyer correspondence, status, likely payment range/timing and effect of further claims.
Asset sale	Ownership, independent valuation, marketing/offer evidence and realistic completion date.

Uncommitted growth/funding: Inspect signed contracts, lender correspondence and subsequent trading. A potential order or proposed loan is not an established commitment; challenge amount, timing and terms.

Profit is not cash: Positive forecast profit does not establish liquidity if customers pay late, debt matures or capex consumes funds.

Sources: Study guide pp.95-97; Workshop 4 item 2; M10 APQs Q1/Q02; AAPQs Q16/Q20; Handbook ISA 570. Reporting branches are on the reporting sheet.

Cashflow forecasts: challenge the model

Module 10 | Specific evidence, not boilerplate

1. **Period and starting point:** Reconcile opening cash/debt to records. Check the assessment horizon and compare actual performance since preparation with the forecast.
2. **Recalculate:** Cast receipts/payments, net movement and closing cash; carry forward correctly. Distinguish annual actuals from quarterly forecasts.
3. **Assess drivers:** Volume, prices, seasonality, credit periods, tax, payroll, overheads, capex, financing, interest and repayments.
4. **Assess headroom:** Compare projected cash/debt with committed facilities and covenant conditions at each relevant date. Annual surplus can conceal an interim shortfall.
5. **Stress the vulnerable assumptions:** Delayed receipts, lower sales, higher costs, delayed asset sale or unavailable funding. Identify whether mitigations are realistic and timely.

Assumption -> concern -> evidence

Forecast line	Challenge	Corroboration
Receipts	Growth/prices may be optimistic; sales differ from cash collection.	Contracts, actual trading, terms and collection history.
Seasonal activity	Smooth growth may miss peaks/troughs.	Historical monthly activity and forecast phasing.
Asset sale	Amount/date may be optimistic or conditional.	Valuation, offer/agreement and completion evidence.
Payroll / overheads	Inflation-only uplift may not cover expansion.	Staffing plans, contracts and budgets.
Capital expenditure	Amount/timing uncertain.	Contractor estimates, contracts and phased payments.
Debt / interest	Drawdown, repayment or rates omitted/mistimed.	Agreement and recalculation by balance/date.
Tax	Profits/distributions inconsistent with no tax outflow.	Tax estimates and work on amount/timing.

Interest working: Drawn principal x annual rate x relevant fraction of year; split drawdown, repayment and rate changes. A fully drawn year-end facility was not necessarily fully drawn throughout the year.

Scope: Note exclusions before drafting. Answer the specific forecast assumptions requested rather than repeating excluded general going-concern work.

Consistency: Reconcile narrative dates/amounts to forecast cells and evidence. Wrong-quarter receipts can conceal a funding shortfall even when annual totals agree.

Sources: Workshop 4 item 1 question pp.1-3, solution pp.1-2; study guide pp.95-97; AAPQs Q20.

Subsequent events: date the condition

Module 10 | ISA (UK) 560

1	**Draw the timeline:** Year end -> event/evidence date -> approval/auditor-report date. Identify when the underlying condition existed, not merely when it was discovered.
2	**Classify:** Evidence of a condition at year end generally points to adjustment; a new post-year-end condition generally points to non-adjustment, with disclosure if material.
3	**Explain the accounting:** Balance/disclosure, amount, direction and materiality. Non-adjusting does not mean no audit work or no disclosure.
4	**Gather specific evidence:** Contracts, legal/regulatory findings, maintenance logs, administrator letters, settlement documents and subsequent receipts.
5	**Determine reporting:** Known uncorrected misstatement versus inability to obtain evidence; materiality and pervasiveness; opinion/report section.

Event	Key distinction
Customer administration after year end	Was financial difficulty already present at year end? Inspect administrator evidence and subsequent receipts.
Legal settlement after year end	Does it confirm a pre-year-end obligation? Compare settlement/provision and materiality.
Inventory deterioration discovered later	Establish when damage occurred. Maintenance/quality logs may demonstrate a pre-year-end condition.
New acquisition / listing after year end	Usually new condition; assess material disclosure and evidence of timing/terms.
Fire or flood after year end	Usually new condition; assess disclosure and going concern. Lost audit records can separately cause a scope limitation.

Event accounting and evidence loss are separate

New post-year-end event: Determine whether the condition existed at reporting date. A new fire may be non-adjusting, with disclosure if material.

Records destroyed: Separately assess remaining evidence over material balances. Test backups/alternatives; if unavailable, assess possible effects, materiality and pervasiveness under the evidence-limitation branch.

Existing condition: Later cancellation, customer failure or settlement may evidence year-end recoverability/obligations. Inspect timeline and correspondence.

Reporting: Missing records do not prove misstatement. Known error and insufficient evidence follow different opinion branches.

After report date: The auditor has no general obligation to keep performing procedures indefinitely. If a fact becomes known that might have changed the report, discuss with management/governance and assess amendment and appropriate action under ISA 560.

Sources: Study guide pp.97-98; AA-SAMPLE-2026-Q01/Q02/Q03; M10 Skills Builders Q1; Workshop 4 item 4. The 2025 T4 RCF classification conflict is not used as a study rule.

Audit reporting: choose the right branch

Module 10 | ISA (UK) 705, 706, 570, 720

Opinion decision matrix

Nature of unresolved matter	Not material	Material, not pervasive	Material and pervasive
Sufficient evidence: financial statements misstated	Unmodified, subject to aggregate/nature assessment.	Qualified 'except for'.	Adverse.
Insufficient appropriate evidence	Unmodified if possible effects not material.	Qualified 'except for' possible effects.	Disclaimer.

Pervasive: Effects are not confined to particular elements; or, if confined, represent/could represent a substantial proportion; or disclosure is fundamental to users' understanding. Explain why the scenario meets or does not meet this test. A large amount alone is not the full explanation.

Going-concern branch

Conclusion	Reporting consequence
Going-concern basis inappropriate	Adverse opinion.
Basis appropriate; material uncertainty; adequate disclosure	Unmodified opinion with a separate Material Uncertainty Related to Going Concern section.
Material uncertainty inadequately disclosed	Qualified or adverse, depending on pervasiveness.
Insufficient evidence over going concern	Qualified or disclaimer, depending on possible effects and pervasiveness.

Do not confuse these report sections

Emphasis of Matter: Adequately presented/disclosed matter fundamental to understanding the financial statements; not a substitute for a modified opinion or the going-concern uncertainty section.

Other Matter: Matter outside the financial statements relevant to understanding the audit, responsibilities or report.

Key Audit Matters: Matters of most significance in the audit, selected from governance communications where applicable. Explain why significant and how addressed; not a separate opinion or substitute for modification.

Other Information: Read the annual report's other information for material inconsistency/misstatement. An uncorrected ESG-report misstatement can affect this section without modifying the financial-statement opinion if the financial statements themselves are not misstated.

Construct the reporting paragraph

Issue and amount: State what is wrong or unsupported. **Materiality:** Compare with threshold and nature. **Pervasiveness:** Explain reach. **Conclusion:** Name the opinion and basis; identify any additional report section.

Provision shortfall: Supported required provision - recorded provision = misstatement. Compare with materiality, assess nature/pervasiveness, request correction and select reporting branch if unresolved. Above materiality does not automatically mean pervasive.

Several matters: Evaluate individually if required; consider combined effects when one overall opinion is requested. Adequate disclosure does not automatically require an Emphasis of Matter: explain why the matter is fundamental to understanding.

Sources: Study guide pp.101-105; Workshop 4 item 4 solution pp.1-2; AA-SAMPLE-2026-Q03; Handbook ISA 705 paras 5-10, 706, 570, 701, 720. Do not copy the mock's conflicting going-concern section label.

Completion, documentation and governance

Modules 4, 10 | ISA (UK) 230, 260, 265, 580

Complete the evidence chain

1	**Stand back:** Revisit risks and materiality; assess whether evidence is sufficient and appropriate for material balances/disclosures. Resolve contradictory evidence and outstanding matters.
2	**Evaluate final statements:** Policies, estimates, disclosures, presentation and consistency; final analytical review; subsequent events and going concern.
3	**Evaluate misstatements:** Accumulate non-trivial items, request correction and assess individual/aggregate effects and management bias.
4	**Obtain representations:** Required written representations from appropriate management, dated consistently with completion. They supplement, not replace, other evidence.
5	**Review and report:** Complete partner/quality review where applicable; resolve differences before signing; document significant judgements and basis for opinion.

What to document

Experienced-auditor test: Nature, timing and extent of work; items tested; results and evidence; significant matters, conclusions and judgements; who performed/reviewed and when. An unexplained tick is not a record of the reasoning.

Strategy versus plan: Strategy sets scope, timing, direction and resources. The plan specifies risk-assessment and further procedures. Both evolve as evidence changes.

Governance communication: fact + why they need it

Matter	Reason / communication focus
Planned scope, timing and significant risks	Enables oversight and discussion of audit approach.
Significant control deficiencies	Explain deficiency, potential effect and context; written timely communication under ISA 265.
Significant accounting judgements / estimates	Explain qualitative issues, bias and disagreements, not only final numbers.
Corrected and uncorrected misstatements	Explain effects and request correction; include relevant qualitative considerations.
Difficulties / restricted access	Explain impact on evidence, timetable and possible report.
Independence issues and safeguards	Explain relationships, services or breaches and action taken.
Going concern / expected report changes	Explain evidence, uncertainty, disclosure and likely reporting consequences.

Governance matters: Failed backups affecting material evidence, independence breaches and expansion affecting resources/fees have different implications. Explain current effect, action and decision needed.

Quality management: ISQM 1 concerns the firm's system; ISA 220 concerns engagement quality; ISQM 2 concerns engagement quality review. Do not imply the reviewer assumes the engagement partner's responsibility.

Sources: Study guide pp.42-43, 98-105; AA-SAMPLE-2026-Q05; Handbook ISA 230, 260, 265, 580, 220; ISQM 1/2.

Group audits: scope, people and access

Module 11 | ISA (UK) 600

1	**Understand the group:** Legal/operational structure, ownership, locations, industries, reporting frameworks, common controls, shared services and consolidation process.
2	**Acceptance and access:** Assess ability to obtain sufficient evidence, access to component management/information and use of component auditors. Consider restrictions early.
3	**Identify group risks:** Component risks plus consolidation, acquisitions/disposals, foreign currency, inconsistent policies, intra-group activity and aggregation risk.
4	**Determine work and materiality:** Plan centrally or at components based on risks and evidence needs; set relevant component thresholds to address aggregation risk; see the group-scope sheet. Do not allocate merely by ownership percentage.
5	**Direct and communicate:** Evaluate component auditors' competence, capabilities, ethics/independence and resources; communicate scope, risks, materiality, timetable and required reporting.
6	**Review and conclude:** Evaluate communications, work and evidence; address misstatements, subsequent events and consolidation. The group engagement partner remains responsible for the group opinion.

Communication checklist

To components: Relevant ethical requirements; work requested; identified significant risks; related parties; thresholds; deadlines; documentation/access; subsequent-event responsibilities.

From components: Work performed, findings, misstatements, control deficiencies, fraud/non-compliance, independence matters, significant judgements and evidence limitations.

Access restriction: Consider alternative ways to review work and obtain evidence; assess scope limitation if unresolved. A component report is not a substitute for evaluating the evidence needed for the group opinion.

Component risks versus group-level risks

Component level	Group level
Cash transfers not fully recorded; unreconciled bank differences.	Acquisition accounting and unfamiliar consolidation adjustments.
Revenue recorded at shipment before delivery.	Goodwill recoverability after deteriorating performance.
Legal provision and volatile foreign exchange.	Group liquidity and ability to support the component.

Risk location: Separate local accounting/operating risks from group structure, consolidation and access risks. Explain significance for the group and evidence needed.

Sources: Study guide pp.108-116; M11 Skills Builders Q1/Q2; M11 APQs Q1/Q02; AAPQs Q12; Handbook ISA 600.

Group scope: choose the work and explain why

Module 11 | Group risks determine evidence needs

1. **Assess significance:** Component size, balances, transactions, disclosures and specific risks, individually and in aggregate.
2. **Locate evidence:** Central records/shared services, components or both; assess access, common controls and component-auditor involvement.
3. **Choose scope:** Entire financial information; selected classes/balances/disclosures; or specific further procedures. Explain why it addresses group risks.
4. **Set instructions/materiality:** Group team determines thresholds, required work, reporting and review; a component report alone does not establish sufficient group evidence.
5. **Stand back:** Cover aggregation risk, consolidation and individually small components material together; extend work where evidence gaps remain.

Circumstance	Scope to consider
Broadly important component financial information	Procedures on entire financial information; full audit where appropriate to the case. Explain breadth and contribution, not a universal percentage rule.
Risk concentrated in selected areas	Work on those classes, balances or disclosures, or specific responsive procedures. Identify risk and evidence needed.
Small component, no identified significant risk	Group-level analytics may be appropriate in the supplied case; reassess aggregate coverage and need for further procedures. Small is not automatic exemption.

Scope selection: apply the decision

Broad importance: If risks/contribution span the component's financial information, explain why work on the entire information is needed.

Concentrated risk: A material unusual property purchase can require targeted PPE work rather than automatic full audit of every balance. Identify assertions and evidence.

Smaller components: Analytics may contribute where no specific significant risk is identified; assess aggregate coverage and further work. Small does not mean no evidence.

Materiality: Group overall materiality concerns group statements. Group team sets component materiality below group overall materiality to address aggregation. Component performance materiality, where determined, is a further working threshold; do not allocate thresholds merely by ownership percentage. Communicate the clearly trivial reporting threshold.

Responsibility: Group engagement partner remains responsible for the group opinion; evaluate component work, findings, limitations and consolidation, not just the local opinion label.

Sources: Study guide pp.109-112, 114-115; WS4 slides 70-71; APQ M11 Q1.

Consolidation: controls and substantive work

Module 11 | ISA (UK) 600

Area	Control to expect	Substantive work to adapt
Reporting instructions	Issued before year end; approved policies, timetable and disclosures.	Inspect instructions and assess consistent application across returns.
Component returns	Complete, approved and reconciled to audited records.	Agree return figures to audited financial information; investigate differences.
Spreadsheet / consolidation system	Restricted access, tested changes, protected formulas and control totals.	Recalculate aggregation and adjustments; test mapping and formula integrity.
Intra-group balances / trading	Counterparties agree balances; differences resolved.	Reconcile both sides; inspect timing differences; test eliminations and unrealised profits.
Acquisitions / disposals	Approved agreements and independently reviewed calculations.	Inspect agreements; test dates, consideration, fair values, pre/post-acquisition results and goodwill.
Group disclosures / final review	Disclosure checklist, independent review and secure final records.	Inspect disclosures, non-controlling interests and presentation; reconcile final statements.

Weakness -> consequence -> remedy

Fact: Group instructions are emailed after year end. **Implication:** Subsidiaries may already have completed procedures, including inventory counts, without following group requirements. **Recommendation:** Issue approved instructions before year end with time for implementation.

Fact: A preparer posts consolidation adjustments without review. **Implication:** Incorrect/incomplete adjustments can misstate group figures. **Recommendation:** Independent controller approval before posting, evidenced electronically.

Fact: Consolidation records share unrestricted access. **Implication:** Component staff could alter information after submission. **Recommendation:** Restrict access to authorised group finance staff and separate passwords/permissions.

Select work for the group issue

Acquisition: Inspect agreement and cash consideration; recalculate acquisition-date reserves and fair-value adjustments.

Goodwill: Obtain management's impairment model; corroborate assumptions with post-acquisition performance and legal-case effects; recalculate and challenge recoverability.

Cash: Obtain direct confirmations for all banks; recalculate reconciliations; trace deposits/transfers/withdrawals to ledger and subsequent statements. Assess short-term deposit classification from terms.

Foreign currency: Recalculate transactions at appropriate transaction-date rates using reliable evidence; investigate fixed-rate policies inconsistent with relevant transaction/closing dates.

Going concern: Assess group forecasts, cross-guarantees, available financing and whether support commitments are financially feasible.

Sources: Study guide pp.111-116; Workshop 4 item 3 question pp.1-2 and solution pp.1-2; M11 Skills Builders Q2; M11 APQs Q2. The SJK solution's monthly-pack comparison is not assumed to be a supplied question fact.

Other assurance: choose the engagement

Module 12 | Subject matter, users and criteria

1	**Clarify the need:** Who wants confidence in what information, for what decision and period? 'Certify' is not a sufficient definition of scope or assurance.
2	**Check the five elements:** Three-party relationship; appropriate subject matter; suitable criteria; sufficient appropriate evidence; written assurance report.
3	**Assess acceptance:** Ethics/independence, competence/resources, rational purpose, evidence access, responsibilities, intended users and agreed terms.
4	**Compare approaches:** Explain level of assurance, work and conclusion; include non-assurance only if the requirement permits it.
5	**Recommend and tailor:** State why the chosen engagement meets these users' needs and evidence constraints. Design procedures for the actual subject matter.

Approach	Work / output	Important distinction
Reasonable assurance	More extensive evidence; positive-form conclusion on the subject matter against criteria.	High, not absolute assurance; not a guarantee of future outcomes.
Limited assurance	Less extensive work; negative-form conclusion based on work performed.	Meaningful but lower assurance; do not call it no assurance.
Agreed-upon procedures	Perform agreed procedures and report factual findings.	No assurance conclusion; users draw their own conclusions.

Suitable criteria and report

Criteria: Relevant, complete, reliable, neutral and understandable; available to intended users. Specify the framework or contractual basis instead of assuming one exists.

Report: Identify subject matter, criteria, responsibilities, scope/level, work and conclusion or factual findings, limitations and intended use as relevant.

Turnover-based contractual payments

Engagement choice: Establish users, subject matter, criteria and output. AUP reports findings without assurance; select assurance only where brief/criteria support it. Do not promise a guaranteed amount.

Working: Fixed payment + turnover x applicable contractual rate. Split periods/bands exactly as the agreement requires.

Evidence: Inspect agreement; agree turnover to ledger and independent till/transaction totals; reperform cash/card reconciliation; recalculate and investigate differences.

Conclusion: Report in agreed form and identify unresolved differences/limitations. The commercial formula is separate from assurance level.

Sources: Study guide pp.118-120; M12 Skills Builders Q2; M12 APQs Q1/Q02; AAPQs Q2/Q11. Code Part 4B applies to relevant other assurance engagements; check applicability first.

Other engagements: purpose, work and output

Module 12 | Not every service provides assurance

Engagement	Work / purpose	Output / limitation
Interim review	Update understanding; mainly enquiry and analytics; follow up issues.	Limited assurance, negative-form conclusion; not audit opinion.
Prospective information	Test assumptions, preparation, calculations and presentation; distinguish expected forecast from hypothetical projection.	Not a guarantee of future results.
Agreed-upon procedures	Agree and perform specified procedures; report factual findings.	No assurance conclusion; users draw conclusions.
Compilation	Apply accounting expertise to prepare information from supplied records.	No assurance; not verification equivalent to audit.
Due diligence	Acquisition-focused contracts, tax, operations and financial investigation as scoped.	Relevant findings for decision; not automatically statutory audit opinion.
Forensic	Reactive investigation or proactive fraud-risk/control work; potential legal consequences.	Supported findings/conclusions within brief; allegation is not proof.
Charity independent examination	Scrutinise records/accounts and reflection of underlying records under relevant regime.	Less onerous than full audit; not interchangeable with audit.
Public-sector / grant work	Defined grant claim, administration or other subject matter.	May be within public-sector audit or separate; identify criteria/users.

Select and justify

Need: Users, subject matter, period, purpose and suitable criteria. **Feasibility:** Ethics, competence, resources, access and evidence. **Level:** Reasonable/limited assurance where appropriate; AUP and compilation provide no assurance conclusion.

Controls assurance: Define process, objectives, period and whether examining design or operation. Operation requires evidence across the period, not only a system description.

Recommendation: Explain fit to purpose, desired comfort, evidence and cost/depth. Do not promise a higher level than the evidence supports merely because the client can pay.

Sources: Study guide pp.118-123; WS4 slides 76-98; APQ M12 Q1/Q2; SB M12. Reporting depends on agreed terms and applicable requirements.

Forecasts, reviews, sustainability and investigations

Module 12

Prospective financial information

Recognise: Forecasts depend on expected future events; projections can include hypothetical assumptions. Clarify purpose, users, period, basis and assumptions.

Test: Compare assumptions with history, contracts, capacity, finance and current changes; recalculate the model; assess consistency, disclosure and sensitivity. Separate the reasonableness of assumptions from whether events will actually occur.

Byrds: New gluten-free range, new equipment, warehouse alterations and November launch create timing/capacity uncertainty. The Skills Builder recommends limited assurance over the forecasts and underlying assumptions rather than a guarantee of accuracy or achievement.

Interim financial review

Approach: Update understanding of the entity; primarily enquiry and analytics; investigate matters identified; evaluate misstatements and form a limited-assurance conclusion. State that it is a review, not an audit opinion.

Sustainability assurance

1	**Define scope:** Which report, metrics, entities, boundaries and period? Identify the reporting criteria and intended users.
2	**Assess readiness:** Data systems, expertise, controls, estimates, value-chain information and evidence availability. A broad sustainability claim may be less testable than a defined metric.
3	**Design evidence:** Trace selected metrics to source records; test calculation and boundary consistency; corroborate estimates and assess omitted adverse information.
4	**Conclude appropriately:** Select level based on engagement circumstances and evidence. The course notes limited assurance is more common; it is not automatically the only possible level.

Transition plans: Consider foundations, implementation, engagement, metrics/targets and governance. KPI/metric assurance, process/control assurance and agreed-upon procedures can support credibility; they do not guarantee delivery of the plan.

External audit distinction: Financially material sustainability risks may affect estimates, impairment and going concern. A sustainability report within the annual report is also other information; reviewing it for consistency is not the same as a separate assurance opinion on it.

Forensic work: See the dedicated investigation sheet for scope, evidence and programme design. The supplied course treats forensic audit as an assurance engagement; do not confuse it with an ordinary statutory audit or automatically with agreed-upon procedures.

Sources: Study guide pp.120-123; M12 Skills Builders Q1; AAPQs Q2/Q11/Q26; M12 APQs Q1/Q02.

Quality failures and points forward

Modules 3, 10 | ISA (UK) 220, 230

Evaluate a quality-management failure

1. **Identify the failure:** Missing safeguards, insufficient staff/time, unreviewed high-risk work, lack of consultation or unresolved differences.
2. **Explain the consequence:** Why could evidence be insufficient, independence compromised or an inappropriate report issued? Distinguish missing documentation from evidence that no action occurred.
3. **Assign the response:** Engagement partner retains responsibility. Specify review, consultation, resources, timetable and documentation required; do not simply say 'improve quality'.
4. **Conclude on continuance/signing:** Resolve matters before reporting. If quality cannot be achieved with available resources and deadlines, reassess whether the engagement can continue.

Quality issue -> consequence -> remedy

Source issue	Evaluation and response
Independence safeguards not documented	Safeguards may be absent or merely undocumented. Review continuance records, establish actual actions and document the conclusion.
Insufficient resources	Work may not be completed to the required quality; may underlie other failures. Reassess staff/time, extend deadline where feasible or reconsider continuance.
High-risk revenue work not reviewed	Risk of unsupported conclusions and inappropriate opinion. Establish a task/review plan, allocate responsibility and monitor completion.
Concerns about expert methodology not consulted on	Difficult judgement may remain unresolved. Consult appropriate expertise and document resolution and its effect on evidence.

Points forward is not the same as governance reporting

Purpose: Carry relevant matters into next year's planning, including lessons from this audit and information about future changes. It is not a substitute for resolving a current material issue.

Next-year planning: Delayed information calls for earlier scheduling; new products/processes need an evidence plan; inefficient manual sampling may warrant ADA. Record the change and action.

Governance distinction: A highly judgemental inventory provision, identified fraud or non-compliance may require communication now. Explain why the matter needs governance attention rather than putting everything only on a future schedule.

Answer construction: Name the specific fact, explain the effect on this or next year's audit, and state the relevant action or communication. A generic definition of a schedule does not answer which points belong in it.

Sources: AAPQs Q23 solution pp.64-65; AAPQs Q24 solution pp.66-67; study guide pp.100-105. Standard numbers in supplied solutions support lookup; the source notes they are not themselves required for marks.

Forensic audit: turn the brief into a programme

Module 12 | Yoga Fanatics

Purpose: Apply audit/investigation skills to matters with potential legal consequences. Reactive work investigates suspected fraud; proactive work examines fraud risks/controls. Establish brief, users and reporting basis first.

1. **Understand the brief:** Identify suspected conduct, affected records, period, users and intended legal use. Distinguish allegations from established findings.
2. **Check engagement elements:** Identify parties, subject matter, suitable criteria, evidence and written report/conclusion. Agree responsibilities, access, scope and relevant expertise.
3. **Design targeted work:** Select transactions displaying the specific fraud characteristics. Use supporting records and corroboration, not only interviews with the person implicated.
4. **Evaluate and report:** Establish supported findings, amounts and limitations. Do not state guilt or loss beyond the evidence; retain clear documentation of work and conclusions.

Suspected conduct -> evidence programme

Suspected issue	Programme response
Membership revenue overstated	Select journals in the relevant suspected period with characteristics such as missing approval/out-of-hours posting; inspect invoices/service evidence for occurrence and correct-period recognition.
Annual memberships not deferred	Recalculate earned/deferred portions using actual agreement dates/service periods; trace both to records.
Doubtful-debt allowance understated	Assess ageing, subsequent receipts and requirements; recalculate allowance and investigate unsupported exclusions.
Refurbishment costs improperly capitalised	Inspect cost invoices/purpose and recognition criteria; distinguish repairs/expenses from qualifying assets.

Specificity check: State which journals, what characteristic, what document and what conclusion the procedure supports. 'Review journals for fraud' does not explain the test.

Distinction from statutory audit: The brief can target suspected conduct and evidence with legal consequences, rather than forming an opinion on the financial statements as a whole. Do not assume the ordinary audit's materiality threshold defines the scope of a fraud investigation.

Distinction from AUP: The course describes this forensic engagement as assurance; AUP reports factual findings without an assurance conclusion. Select the engagement from the actual requirement rather than treating all non-audit work as one category.

Sources: AAPQs Q26 question pp.75-76 and solution pp.71-72; study guide Module 12. This is a synthesis of the supplied application, not legal advice or an assertion that fraud occurred.

Use the permitted books efficiently

Handbook navigation | Physical PDF pages

Book strategy: Use this aid to identify the decision and scenario application. Use the permitted text to confirm a requirement, exception or reporting branch. Search by standard number plus a distinctive phrase rather than reading a whole standard during a question.

Page convention: Numbers below are physical PDF start pages in the supplied Handbook. Printed Handbook page numbers are ten lower at these standard starts. Verify your exam viewer's numbering before relying on a page jump.

Need	Standard / search target	PDF start
Ethics / independence	FRC Ethical Standard; sections 2-5 for relationships, association, fees and services.	23 (section divider); 25 (contents)
Preconditions / terms	ISA 210: management responsibilities and access.	303
Fraud	ISA 240: revenue recognition, management override.	393
Laws / reporting to regulators	ISA 250A / 250B.	451 / 499
Governance / deficiencies	ISA 260 / 265.	527 / 567
Risk assessment / responses	ISA 315 / 330.	595 / 733
Materiality / misstatements	ISA 320 / 450.	723 / 785
Service organisations	ISA 402: Type 1/2, user controls.	759
Evidence / inventory / confirmations	ISA 500 / 501 / 505.	801 / 823 / 835
Opening balances / analytics / sampling	ISA 510 / 520 / 530.	849 / 865 / 875
Estimates / related parties	ISA 540 / 550.	893 / 965
Subsequent events / going concern	ISA 560 / 570.	993 / 1007
Representations / groups	ISA 580 / 600.	1047 / 1065
Internal audit / auditor's expert	ISA 610 / 620.	1151 / 1175
Opinion / key audit matters	ISA 700 / 701.	1197 / 1267
Modified opinions / additional paragraphs	ISA 705 / 706.	1297 / 1331
Comparatives / other information	ISA 710 / 720.	1351 / 1375

Code navigation: Physical/printed p.5 R1.12 explains UK audit applicability; pp.14-30 contain principles and conceptual framework; section 320 starts p.87 (appointments); section 360 starts p.112 (non-compliance); Part 4B starts p.226 (other assurance independence). Do not substitute Part 4A automatically for the FRC rules applicable to a UK audit.

Sources: Supplied Handbook contents and standard opening headings; supplied July 2026 Code contents and R1.12. Edition-specific locators; verify the viewer numbering before use.